



GOVERNMENT OF SIKKIM
FINANCE, REVENUE & EXPENDITURE DEPARTMENT

ANNUAL CONSOLIDATED AUDIT AND REVIEW REPORT

ON
THE ACCOUNTS OF

PANCHAYATI RAJ INSTITUTIONS,
MUNICIPAL CORPORATION &
MUNICIPALITIES
FOR THE YEAR ENDED 31ST MARCH 2015
AS LAID BEFORE THE LEGISLATURE

(AS REQUIRED UNDER SECTION 19 OF THE SIKKIM LOCAL FUND AUDIT
ACT, 2012)

DIRECTORATE OF LOCAL FUND AUDIT
SIKKIM, DEORALI

FOREWORD

The CONSOLIDATED AUDIT AND REVIEW REPORT for the year 2014-15 is compiled in FOUR parts.

Part - I: PANCHAYATI RAJ INSTITUTIONS.

Part – II: MUNICIPAL CORPORATION.

Part - III: MUNICIPALITIES.

All parts are designed independently and comprehensively.

Part I deals with the Panchayati Raj Institutions and a few Selected Audit Objections. The connected statements are appended.

Part II deals with the Municipal Corporation and a few Selected Audit Objections. The connected statements are appended.

Part III deals with the Municipalities including Municipal Council and Nagar Panchayats and a few Selected Audit Objections. The connected statements are appended.

PREFACE

The Sikkim Local Fund Audit Act, 2012 has empowered the Director of Local Fund Audit to conduct the audit of accounts of Local Bodies. The Director, Local Fund Audit conducts post audit of all Local Bodies in the subsequent financial year. The Director, Local Fund Audit (DLFA) conducts the audit of these Panchayati Raj Institutions through the Local Fund Audit Office.

The Audit Reports of notified Gram Panchayats and Municipalities are approved by the LFAO. Institution wise audit reports containing various audit objections are issued to the Executive Authorities of the Local bodies for follow up action i.e., rectification of defects pointed out in the audit reports and to submit suitable replies to the Audit after obtaining approval of the General Body of the authority concerned.

Under the Sikkim Local Fund Audit Act, the Director is vested with the power of disallowing any item of the expenditure incurred contrary to the law and surcharges the same on the person incurring or authorizing the incurring of such expenditure.

Under Section 19 of Sikkim Local Fund Audit Act, 2012, the Director, Sikkim Local Fund Audit is required to submit annually a Consolidated Audit and Review Report on the accounts of the Local Bodies to the Government for laying of such report on the table of the Legislative Assembly.

The Annual Consolidated Audit and Review Report (Annual CARR) for the year 2014-15 on the Accounts of Municipal Corporation and Municipalities audited for the year till 2013-14, and PRIs namely Gram Panchayats audited for the year 2014-15, is submitted.

I, Pawan Chamling, Minister-in-Charge of Finance, Revenue and Expenditure Department do hereby authenticate the Annual Consolidated Audit and Review Report on Accounts of Panchayati Raj Institutions, including Gram Panchayats, and Municipalities, including Nagar Panchayats and Municipal Corporation, for the Year ended 31st March 2015.

I approve the same for placing on the table of Sikkim Legislative Assembly.

Dated: 14.03.2016



PAWAN CHAMLING

Minister-in-Charge

Finance, Revenue and Expenditure Department

ABBREVIATIONS

GOI: Government of India
GOS: Government of Sikkim
FRED: Finance, Revenue and Expenditure Department
LFA: Local Fund Audit, Sikkim
DLFA: Directorate of Local Fund Audit, Sikkim
CARR: Consolidated Audit and Review Report, LFA
SFR: Sikkim Financial Rules, 1979
SSR: Sikkim Service Rules, 1979
PRI: Panchayati Raj Institutions
GP: Gram Panchayat
MGNREG: Mahatma Gandhi National Rural Employment Guarantee
ZP: Zilla Parishad
NP: Nagar Panchayat
MC: Municipal Council
GMC: Gangtok Municipal Corporation
ULB: Urban Local Bodies
RLB: Rural Local Bodies
SPWD: Sikkim Public Works Department
PAO: Pay and Accounts Office, Sikkim
CAG: Comptroller and Auditor General of India
AG: Accountant General
BRGF: Backward Region Grants Fund
TFC: Thirteenth Finance Commission
SFC: State Finance Commission
SJSRY: Swarna Jayanti Sahari Rojgar Yojana
BSUP: Basic Service for Urban Poor
NMC: Namchi Municipal Council
JNP: Jorethang Nagar Panchayat
GNP: Gyalsing Nagar Panchayat
MNP: Mangan Nagar Panchayat
RNP: Rangpo Nagar Panchayat
SNP: Singtam Nagar Panchayat
VWSC: Village Water and Sanitation Committee

OVERVIEW

During the year under the report, the Director could audit some of the arrears also, apart from the current as shown below:

Sl. No	Name of the Institution	Total Units	Current Audit	Arrear Audit	Total
1.	DZUMSA	2	0	0	0
2.	GRAM PANCHAYAT UNIT	176	14	0	14
3.	MUNCIPAL COUNCIL	1	0	1	1
4.	MUNICIPAL CORPORATION	1	0	2	2
5.	NAGAR PANCHAYAT	6	0	3+3+3+1+1=11	11
6.	ZILLA PANCHAYAT	4	0	0	0
	TOTAL	190	14	14	28

AUDIT OBJECTIONS:

Various irregularities under 15 categories noticed in the course of audit are being reported to Executive Authorities as detailed below in order to facilitate prompt follow up action:

1. Advances pending adjustment
2. Diversion of grants/funds
3. Excess payments
4. Mis-appropriations
5. Mis-utilisation of grants / funds
6. Non-collection of dues
7. Non-production of records
8. Non-remittance of deductions / recoveries
9. Non-utilization of grants within the timeframe.
10. Pendency of utilization certificates
11. Relinquishment of revenue
12. Variation in account figures
13. Violation of rules
14. Wasteful expenditure
15. Others

The category wise and institution wise numbers of audit objections raised during the year are shown in Statements appended in respective institutional reports.

On receipt of replies to the defects pointed out in the earlier reports supported by relevant records / documents, the audit objections were settled wherever the replies were satisfactory. The Audit Reports contain the details of number of audit objections pending settlement at the close of the audit.

The audit paras selected for inclusion in the Annual CARR give a glimpse of financial administration in the Local Authorities.

CONTENTS

Sl. No.		PARTICULARS
I.	Part I	Panchayati Raj Institutions - Gram Panchayats
II.	Part II	Municipal Corporation
III.	Part III	Municipal Council & Nagar Panchayats
IV.		Conclusion

GOVERNMENT OF SIKKIM
FINANCE, REVENUE & EXPENDITURE DEPARTMENT

PART – I

CONSOLIDATED AUDIT AND REVIEW REPORT ON THE ACCOUNTS OF PANCHAYATI RAJ INSTITUTIONS FOR THE YEAR 2014-15

DIRECTORATE OF LOCAL FUND AUDIT
DEORALI, SIKKIM

CONTENTS

Statement No.	DESCRIPTION OF STATEMENTS OF CONSOLIDATED LOCAL FUND AUDIT AND REVIEW REPORT OF PRIs., FOR THE YEAR 2014-15	Page No.
I	Introductions and a few selected audit objections of Gram Panchayats –category wise	Part-I (1)
1	Statement of Consolidated Receipts & Payments of Gram Panchayats for the year 2014-15	Part-I (12)
2	Statement of Consolidated Grant wise Receipts and Payments Gram Panchayats for the year 2014-15	Part-I (13)
3	Statement showing the Revenue collected by the Gram Panchayats for the year 2014-15	Part-I (13)
4	Statement showing the Number of Audit objections category wise for the period under audit	Part-I (14)
	Introductions and a few selected audit objections on implementation of MGNREG Scheme –category wise	Part-I (15)
5	5 (1): R5.2 Employment Generated during the year 2014-2015 of State.	Part-I (23)
	5 (2): R5.2 Employment Generated during the year 2014-2015 of Pakyong Block.	Part-I (23)
	5 (3): R5.2 Employment Generated during the year 2014-2015 of Mangan Block.	Part-I (24)
6	6 (1): R5.12 Households Completed 100 days in Financial Year -2014-2015 of State	Part-I (24)
	6 (2): R5.12 Households Completed 100 days in Financial Year -2014-2015 of Pakyong Block.	Part-I (25)
	6 (3): R5.12 Households Completed 100 days in Financial Year -2014-2015 Mangan Block.	Part-I (25)
7	7 (1): Financial Performance Under MGNREGA during the Financial Year 2014-2015 of Pakyong Block.	Part-I (26)
	7 (2): Financial Performance Under MGNREGA during the Financial Year 2014-2015 Mangan Block.	Part-I (27)
8	8 (1) : R7.1.4 Outlays & Outcomes during Financial Year 2014-2015 of State	Part-I (28)
	8 (2) : R7.1.4 Outlays & Outcomes during Financial Year 2014-2015 Pakyong Block.	Part-I (29)

Statement No.	DESCRIPTION OF STATEMENTS OF CONSOLIDATED LOCAL FUND AUDIT AND REVIEW REPORT OF PRIs., FOR THE YEAR 2014-15	Page No.
	8 (3) : R7.1.4 Outlays & Outcomes during Financial Year 2014-2015 Mangan Block.	Part-I (30)
9	9(1):R14.1 Delayed Compensation FY : 2014-2015 of State	Part-I (31)
	9(2):R14.1 Delayed Compensation FY : 2014-2015 Pakyong Block.	Part-I (32)
	9(3):R14.1 Delayed Compensation FY : 2014-2015 Mangan Block.	Part-I (33)
10	10(1): R7.2.2 Delayed Payment Financial Year-2014-2015 of State	Part-I (34)
	10(2): R7.2.2 Delayed Payment Financial Year-2014-2015 Pakyong Block.	Part-I (35)
	10(3): R7.2.2 Delayed Payment Financial Year-2014-2015 Mangan Block.	Part-I (36)

ANNUAL CONSOLIDATED AUDIT AND REVIEW REPORT ON THE ACCOUNTS OF PANCHAYATI RAJ INSTITUTIONS – GRAM PANCHAYAT FOR THE YEAR 2014-15

INTRODUCTION

1.1 Under the Sikkim Local Fund Audit Act, 2012 the Director of Local Fund Audit, Sikkim is made in charge of the audit of the funds of the Panchayati Raj Institutions as specified in the Schedule prescribed in the said Act.

1.2 The Department conducts post audit of the Panchayati Raj Institutions and Audit Reports consisting of defects noticed in the audit are issued to the Chief Executive Officer of the institutions concerned who has to take action for rectifying the defects pointed out in the Audit Report.

1.3 Under the Local Fund Audit Act, the Director of Local Fund Audit, Sikkim is vested with the power of disallowing any item of the expenditure incurred contrary to the law and surcharge the same on the person incurring or authorizing the incurring of such expenditure and may charge against any person responsible there for, the amount of any deficiency, loss or unprofitable out lay occasioned by the negligence or misconduct of that person or of any such sum which ought to have been accounted for but is not brought into account by that person and shall, in every such case, certify the amount due from such person.

SCOPE OF AUDIT

2.1 The Local Fund Audit Division has been statutorily entrusted with the authority to verify the following aspects during the course of post audit of the Panchayati Raj Institutions, viz., Gram Panchayats.

- a) Whether the taxes, fees etc., collected by the Panchayati Raj Institutions were properly accounted for with full details in the books of accounts of the body concerned.
- b) Whether adequate care is taken up periodically to check up the funds with the Treasury or Bank.
- c) Whether the expenditure incurred was provided for in the Budget of the Panchayati Raj Institutions concerned and duly sanctioned by the competent authority under the Act / Rules or by any Executive Instructions by the Government.
- d) Whether the funds were utilized only for the permitted purposes prescribed under the Act / Rules.
- e) Whether the procedure prescribed by the Government in incurring the expenditure/ payments made is properly followed and accounted for with due classification in the books of accounts of the Panchayati Raj Body.

- f) Whether the required vouchers for the expenditure incurred were maintained.
- g) Whether grants received from the different sources were properly accounted for and utilized for the purposes for which they were meant.

STATUS OF AUDIT

3.1 The audit of the following Panchayati Raj Institutions for the year 2014-15 was conducted in the year 2015-16.

Panchayati Raj Institutions	No. of Unit audited
Gram Panchayats	14

3.2 14 numbers of Gram Panchayat Units were audited by Local Fund Audit for the year 2014-15 which are listed as below:

SL No.	DISTRICT	BLOCK	GPU	AUDITED YEAR
1.	EAST	PAKYONG	Aho Yangtam GPU	2014-15
2.	EAST	PAKYONG	Amba GPU	2014-15
3.	EAST	PAKYONG	Chalamthang Pacheykhani GPU	2014-15
4.	EAST	PAKYONG	East Pendam GPU	2014-15
5.	EAST	PAKYONG	Namcheybong GPU	2014-15
6.	EAST	PAKYONG	Pachey Samsing GPU	2014-15
7.	EAST	PAKYONG	Pakyong GPU	2014-15
8.	NORTH	MANGAN	Mangshila Tibuk GPU	2014-15
9.	NORTH	MANGAN	Namok Swayem GPU	2014-15
10.	NORTH	MANGAN	Ringhim Nampatam GPU	2014-15
11.	NORTH	MANGAN	Ramthang Tanek GPU	2014-15
12.	NORTH	MANGAN	Singhik Sentam GPU	2014-15
13.	NORTH	MANGAN	Thingchim Chadey GPU	2014-15
14.	NORTH	MANGAN	Toong Naga GPU	2014-15

GRAM PANCHAYAT FUND

4. Under sub-rule 3 of Rule 3 of The Sikkim Gram Panchayat (Financial) Rules, 2003 notified vide No. 35(159)/93-94/RDD/P-III/33 dated 10-07-2003, states that the account shall be maintained in the name and style of “Gram Panchayat Fund” duly prefixing the name of the Gram Panchayat and jointly operated by the President and

Secretary only. The GP fund constitute self-generated fund and Grant-in-Aids. The pattern of all the constituents of GP Fund is not uniform, though Annual Accounts of GP contains all such constituents. The position is given below.

#	Constituent of GP Fund	Remarks on post audit
1.	General Fund	Post Audit is being conducted by the Director of Local Fund Audit and the consolidated Report is being placed on the table of Legislative Assembly.
2.	BRGF Grant	-Do-
3.	Central Finance Commission Grants	-Do-
4.	State Finance Commission Grants	-Do-
5.	Education Fund(HRDD)	-Do-
6.	Mahatma Gandhi NREGS	-Do-

RECEIPTS AND PAYMENTS (2014-15)

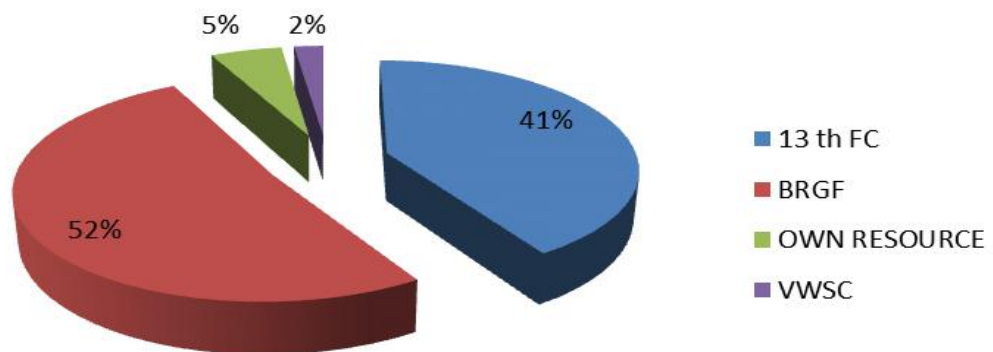
4.1 The Receipts and Payments are inclusive of the various grants received from Central and State Governments during the year 2014-15 by the Gram Panchayats audited during the period. The details of gross Receipts and Payments are shown in the Statements No. 1 with reference to the Gram Panchayats, respectively.

The various Grants received by the Gram Panchayats are exclusively detailed in Statement No 2.

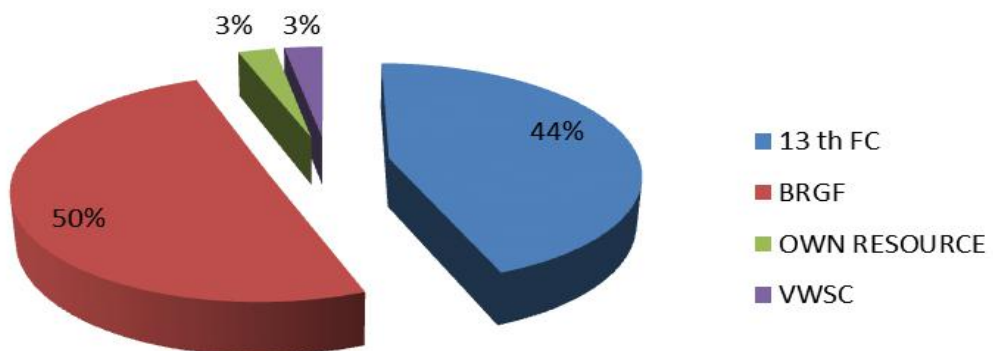
4.2 The aggregate Receipts & Payments of 14 Gram Panchayats audited during the year are Rs.3,54,40,551 and Rs 2,25,03,132 respectively. These figures are presented in pie diagram

Name of the Fund	Receipts	% of Receipts	Payments	% of Payments
13 th FC	14172175.6	41.10	10197604	44.08
BRGF	17725859	51.41	11641896	50.32
OWN RESOURCE	1833962	5.32	637736	2.76
VWSC	749129	2.17	659416	2.85
TOTAL	34481125.6	100	23136652	100

PIE CHART OF RECEIPT FOR 2014-15

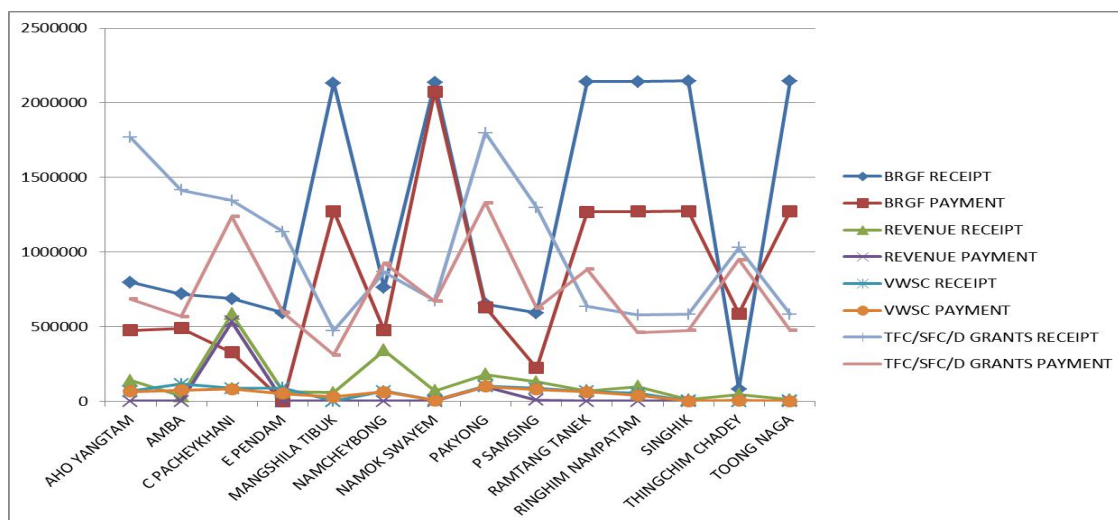


PIE CHART OF PAYMENT FOR 2014-15



RECIEPTS & PAYMENTS OF GRAM PANCHAYATS FOR 2014-15 (FUND WISE)

4.3. The pattern of Receipts and Payments (Fund wise) of the Gram Panchayats for the Year 2014-15 exhibited in the Line graph chart



GRANTS POSITION

5.1 Gram Panchayats are provided grants by the State / Central Governments to implement the schemes entrusted to them and also for over all development of the area under their jurisdiction. The Gram Panchayats have received the grants as detailed in the Statement No.2.

5.2 The Grant Wise Receipts & Payments of Gram Panchayats in the State for the year 2014-15 are exhibited in the bar charts.

AUDIT OBJECTIONS

6.1 During the course of audit Gram Panchayats for the year 2014-15, the defects noticed were already pointed out in the relevant Audit Reports, as “Audit Objections” which were forwarded to the Chief Executive Authorities concerned for further action at their end as per the procedure laid down under the Sikkim Local Fund Audit Act, 2012.

6.2 A Consolidated Statement showing the number of objections raised, amount involved with institution-wise break-up is annexed vide Statement No. 4

6.3 CATEGORISATION OF AUDIT OBJECTIONS:

The Audit Objections are classified into 4 Categories as detailed below and shown in the Appended Statement No. –4

AUDIT – PARAS

Gist of some of the selected audit objections raised during the year 2014-15 under report is enumerated below:

VIOLATION OF RULES

It was noticed in the audit that in some cases the Rules / Government instructions for incurring the expenditure from the funds of the GPs were violated either due to negligence or ignorance. In certain cases, the funds of the GPs were utilized for the purposes other than the permitted ones under the Act / Rules. It was also noticed that in a few cases, Government instructions were misunderstood or misinterpreted.

Mangshila GPU-Lapses in Purchase Procedure

On scrutiny of paid voucher amounting to Rs1,96,724/- under Mangshilla Tibuk Gram Panchayat Unit in which payment was made to supplier M/s Ramji Mishra, Mangan vide cheque No.013074 dated 19/09/2014 on ac supply of materials for the work “Renovation of Gram Prashasan Kendra at Upper Mangshilla” under BRGF Scheme, The audit party noticed that the voucher so produced were not supported by relevant supporting documents like ,quotation, comparative statement and supply order .

Aho GPU-Release of Security Deposit - Rs 11,196/-.

On scrutiny of vouchers and file related to “construction of Crematorium shed at Chyandara”, Security Deposit to the tune of Rs 11,196/- was deducted. However, the SD was released on 24.11.2014 which is within 2 month from the date of completion (29.9.14)which is highly irregular.

Pacheykhani GPU-Irregularities in purchase procedure - Rs 2,95,950/-

On scrutiny of vouchers, it was found that items purchased by the GPU vide voucher no 04 and 12 dated 02.05.14/20.10.14 (cheque no 364261/02.05.14 and 364270/20.10.14) for Rs.86,940 & 2,09,010 respectively.

In the above case, audit found the following irregularities –

The items were purchased at exceptionally high rate without inviting quotations from registered firms.

No Inventory Register was maintained by the GPU,

In such situation there was gross violation of sub-rule 1 of rule 11 of Sikkim Financial Rule, 1979 and sub rule no 2(e) of Rule no 7 of Sikkim Gram Panchayat (Financial) Rules, 2003, respectively.

Delay in release of fund

Scrutiny of records of Local Bodies audit team noticed that the funds so released by the Nodal, Line Departments was not time bound. Non availability of required funds in time hamper in implementation of Plans/Schemes in Local Bodies. The practices of releasing of funds at the end of Financial Year were also noticed during the course of audit.

Suggestion: Nodal, Line Departments need to look into the matter seriously and may transfer the funds in a suitable time so that Local Bodies can utilize the funds fully within a same Financial Year towards the development and maximum benefit of the general public.

Unauthorized expenditure from TFC & Revenue Account

Rural Management & Development Department [RMDD] appoints Barefoot Engineer cum Plumber at GP level on subject to meet the expenditure of wages from the administrative fund. To meet the expenditure, the Nodal Department released the fund under VWSC. However, in some GP due to non-availability of fund under VWSC, the expenses of wages were met from the TFC & Revenue Account which is highly irregular and unauthorized expenditure.

Non levy of taxes

Sections 39[1] and 40[1] of Sikkim Panchayat Act, 1993 envisaged constitution of Gram Panchayat Fund and Levy of taxes, rates and fees on the subjects mentioned at clause (a) to (i) of Rule 40[1] by the GPs subject to the rates fixed by the State Government.

Based on TSFC recommendations and the State Government notified for the levying of Household Tax [Rs.5/- to Rs.15/-], Water & Sanitation Tax [Rs.1/- per month for each household], Village Road & Environment Tax [Rs.1/- per month per household], Panchayat Recommendation/Clearance/Certificate fees @ Rs.20/- per case/application, sale of Tender Forms at the rate prescribed by SPWD/RMDD/other Government departments, Building Construction Fees @ Rs.2/- for pucca and Rs.1/- for kutcha per square feet of plinth area and other miscellaneous receipts by the Gram Panchayat.

It was, however, noticed that despite the above enabling provisions, the GPs had neither initiated any steps to identify the areas for levying taxes nor collected any revenue expect few. It was also noticed that control mechanism for levy taxes/fees and its collection by the PRIs were not prescribed to facilitate timely initiation of the levy and collection procedure despite notification issued by the State Government based on the recommendation of the TSFC.

Non maintenance of advance register

Scrutiny of records of Local Bodies revealed that although the Local Bodies released advance payment for various purposes, but the entries in the relevant advance register was not made. Non maintenance of advance register was fraught with risk of non-submission of adjustment bill with in stipulated time.

Accounting system in Gram Panchayat

The Sikkim Gram Panchayat (Financial) Rules, 2003 [7(1) & (2)] stipulated maintenance of various records such as (i) Cash Book, (ii) Monthly Receipt and Payment Register, (iii) Annual receipt and payment account, (iv) Monthly Reconciliation Statement, (v) Inventory Register for Movable Assets, (vi) Inventory Register for Immovable Assets, and (vii) Balance sheet for proper depiction of accounts of the Gram Panchayat Funds.

Scrutiny of records in 14 GPs revealed that basic and registers as indicated above were not maintained properly as evidenced from following:-

- Maintenance of Cash Books in 14 GPs disclosed that (i) Cash Book balance were not certified in any of the GPs by the President of the GPs; (ii) none of the GPs had reconciled the Cash book balance with the balance maintained by the Banks;
- Monthly Receipt and Payment Register were not maintained;
- Annual Receipts and Payments Accounts were not maintained;
- Registers for movable and Immovable Assets were not maintained to indicate the assets possessed by the GPs, cost of Assets, maintenance cost etc.
- Requirement of Annual physical verification of Assets as required under the Financial Rules were also not carried out in any of the GPs.
- Balance sheet not prepared.

Payees' signature not obtained

As per Rule 37[2] of Sikkim Financial Rules, 1979, every voucher must bear, or name attached to it an acknowledgement of the payment signed by the person by whom, or on whose behalf the claim is put forward. The acknowledgement should be taken at the time of payment.

However, scrutiny of records of Local Bodies in most of the cases, the acknowledgement/ payees' signature was not obtained at the time of released of payment.

Rush of Expenditure

Financial discipline requires that the expenditure be evenly phased over the Financial Year. It was noticed that 40 to 50 percent of the total expenditure was incurred during the month of March. Rush of expenditure at the close of the Financial Year arise the risk of fraught, unnecessary pressure on the working staff to maintain proper records and reflect the ill-planned execution.

Non maintenance of “Register of Works”

Under section 8.7 and 8.8 of Sikkim Public Works Department Manual, 2009, envisaged when any payment is made from the works, the records of expenditure incurred during a year should be posted in the “Register of Works”.

However, scrutiny of records of Local Bodies pertaining to civil works, audit noticed that although the payment was made however the records of expenditure incurred was not posted in the Register of Works.

Vouchers in support of payment not created

A Government servant entrusted with the payment of money shall obtain for every payment he makes, a voucher setting forth full and clear particulars of the claim and all information necessary for its proper classification and identification in the accounts.

However, on scrutiny of records of Local Bodies audit noticed that in some cases although the payment was released but vouchers in support of payment was not created.

Non preparation of Budget

Budget is the most important tool for financial planning, accountability and control. Sikkim Panchayat Act, 1993 read with Sikkim Gram Panchayat (Financial) Rules, 2003 (Para 8) envisaged preparation of budget by the GPs indicating estimated receipts and expenditure for the next year by August each year for submission to the Secretary, Rural Management and Development Department of the State Government. It was noticed that no budget proposals were prepared by the GPs. This was despite stipulation in para 8(1) of Sikkim Gram Panchayat (Financial) Rules, 2003 requiring District Planning Committee to consolidate PRI budget into respective ZPs for integrating into State Budget. In the absence of Budget, the machinery to watch excess/saving in expenditure over Budget provision in respect of GPs was also non-existent.

Non Devolution of Power

The Twelfth Scheduled to the Constitution of India under Article 243 G identifies 29 (Twenty nine) subjects to be entrusted to the Rural Local Bodies to enable them to function as institution of self- government. However, it was noticed during the course of audit that out of the twenty nine subjects only few subjects are being executed by the GPU.

VARIATION IN ACCOUNT FIGURES

It was found that carried forward Closing Balance as on 31st March, 2015 does not tally with the Opening Balance as on 1st April, 2015 in the Cash Book. It was found that no bank reconciliation statement was prepared and the Closing Balance as shown by the Pass Book was entered as Opening Balance on the 1st April which is irregular practice.

Pachey Samsing GPU- Variation in account figures - Rs. 41,000/-.

Panchayat Accounts Assistant has been appointed at the GP with the monthly remuneration at the rate of Rs 5000 per month to assist the Panchayats and staff in maintenance of accounts. However, it was found that entries for payments were omitted in the cash book which was reflected in the bank pass book.

Sl no.	Account/ Scheme	Cheque no./date	Amount not entered in respective cashbook (In Rs.)
1	TFC	346875/12.12.14	33000
2	Own resource	121427/9.2.15	8000
		TOTAL	41000

The omissions of entries in the Cash Book will reflect the wrong picture of accounts and balance shown by Pass Book will not tally.

NON-REMITTANCE OF DEDUCTIONS / RECOVERIES FROM VOUCHERS / PAY BILLS / CONTINGENT BILLS

It was noticed during audit that various deductions / recoveries effected from the work bills / pay bills were not remitted to Government. And in some cases a part of them only were remitted in spite of statutory obligation to remit the same to Government account with in a prescribed time under the relevant statutory provisions which also include penalty as well as prosecution for non-adherence. The deductions like Environment Cess, VAT, Storage Charges, Contractor Profit and Labour cess normally made from work bills / pay bills are to be remitted to Government account.

As per Rule 19 (1) of the Sikkim Value Added Tax Act, 2005, it is stated that, “Notwithstanding anything contained in any other law or contract to the contrary, any person or any specified class of persons responsible to pay any sum to any dealer for sale or supplies made by it to the State or Central Government including department of other States, situated in Sikkim, any local body, any authority or corporation established by or under a statute and any State or Central Government undertaking shall, at the time of credit of such sum to the ac the dealer or at the time of payment thereof in cash or by cheque or draft or any other mode, deduct the amount of tax from the bills or invoices, at the rate or rates notified under this Act from time to time.” Also as per the subsection 7 of the same rule, “The remittance or deposit of deducted tax to the credit of the State Government shall be adjusted by the concerned assessing authority towards the tax liability of the dealer and shall constitute a good and sufficient discharge of the liability of the deducting authority to the dealer to the extent of the amount remitted or deposited. “And under Sub-section 8, it states that, “If any person fails to deduct, or having deducted, fails to remit to the State Government within the stipulated time, the amount deductible under sub-section (1), he shall be liable for penalty of a sum not exceeding twice the amount deductible.”

As per Rule 19(3) under Sikkim Ecology Fund and Environment Cess Act, 2005, “The amount of cess deducted at source shall be remitted to the credit of the State Government within fifteen days from the date of making of deduction through the challan or document of book adjustment prescribed under the financial rules of the State Government.”

As per Rule 3.(1) under the Building and Other Construction Workers (Regulation of Employment and Conditions of Service) Act, 1996, “There shall be levied and collected a cess for the purposes of the Building and Other Construction Workers , at such rate not exceeding two per cent but not less than one per cent. of the cost of construction incurred by an employer, as the Central Government may, by notification in the Official Gazette, from time to time specify.”

But during the course of audit it was found that the recovered amount was not remitted and in some cases, the amount was partly remitted to the state fund which amounts to negligence on the part of the concerned officials.

Pachey Samsing GPU- Irregularities in works under BRGF fund- Rs 10,771/-.

Sl. No	Name of works	Sanction amount	MR	Supplier bill			TOTAL amount released
				Net	VAT	Cess	
1	Repair work of RWSS from GPK via Gauncha Dara to Dasrat Gaon	74000	29850	41839	1842	405	73936
2	Repair work of RWSS from Namphig khola to Dara gaon via Gairi Gaon	75000	33600	39252	1768	383	75003
3	Repair work of RWSS from Pachey khola to Upper Dugalakha	75000	33600	39252	1768	383	75003
	TOTAL	224000	97050	120343	5378	1171	223942

Scrutiny of relevant papers revealed that amount paid to the supplier was Rs 1,24,565/- vide cheque no 000755 dt 14.6.14, however, it should have been only 1,20,343/- (excluding VAT of Rs 5378 and Cess of Rs 1171). Hence, payment made to the supplier amounting to Rs 4222 is in excess which needs to be recovered within a reasonable time. The non-remittance of VAT/Cess of Rs 6,549/- has resulted in the loss of revenue to the Government.

Pachey Samsing GPU-Irregularities in works under TFC fund- Rs 50,393/-.

Sl. No	Payment made to	Amount paid to the party	VAT	Cess	Net amount	Gross
1	Dipti Shoppe for supply of stationery	221205	15345	1903	190250	207498
2	Samsing enterprise for supply of stationery	50000	1752	438	47810	50000
	TOTAL	271205	17097	2341	238060	257498

Scrutiny of relevant papers revealed that amount payable to the supplier was Rs 1,90,250/- However, he was paid Rs.2,21,205/-vide cheque no 346860 dt 3.3.14 in excess of 30,955/-.

The Executive Authority should recover the excess amount of Rs.30,955/- illegally paid to the supplier within a reasonable time. Further, it was found that no VAT/Cess

of Rs.15,345/- and Rs.1,903/- respectively were credited to the Govt. account resulting in the loss of Govt. revenue. This highly irregular practice should be done away forthwith.

NON-PRODUCTION OF RECORDS

The Panchayat Raj Bodies provide certain basic civic infrastructure and services. They also perform certain regulatory functions. They also prepare plans for economic development and social justice. With the rise in demand for services the functionaries need to have effective financial management skills and accountability practices. All these functions would be reflected on the record when they were accounted for as per the provisions contained in the Comptroller and Auditor General (C&AG) rules together with the local rulings relating to Local variation in accounts procedure. These initial accounts are to be kept ready and should be produced to Audit for verification. Then only the transparency in incurring of public money and their utilization for the benefit of the General Public can be reasonably judged.

Pachey Samsing GPU- Supply of stationery - Rs 50,000/-

On scrutiny of relevant papers, it was revealed that Pachey Samsing GP had paid Rs 50,000/- to M/s Samsing Enterprise for supply of stationery, however, relevant voucher and bill were not produced to the audit which is highly irregular.

STATEMENT - 1

Consolidated Statement of Receipts & Payments GPU Wise for the year 2014-15 (in Rupees)

GPU	OPENING BALANCE	RECEIPT	INTEREST	TOTAL RECEIPT	PAYMENT
AMBA	985836.6	1316657	30188	2332681.6	1180202
PAKYONG	895227	1800420	37826	2733473	2158922
RAMTHANG TANEK	1726482	8695692	37499	10459673	9315913
SINGHIK SENTAM	1957564	12230722	34572	14222858	13328703
TOONG NAGA	1957564	12230722	34572	14222858	13328703
MANGSHILA TIBUK	4978223	1994077	52289	6991984	5879492
TINGCHIM CHADEY	413963	2143136	21308	1157850	1541822
RINGHIM NAMPATAM	922370	1910642	39105	2872117	1771818
NAMOK SWAYEM	755248	2108237	20118	2883603	2751680
EAST PENDAM	838856	1019078	20340	1878274	645309
CHALAMTHANG PACHEYKHANI	1118854	1554884	31169	2704907	2180985
PACHEY SAMSING	427189	1657235	21688	2106112	932568
NAMCHEYBONG	624739	1651467	29974	2034215	1464976
AHO YANGTAM	973140	30255330	105325	31333795	29133627
Grand Total	18575255.6	80568299	515973	97934400.6	85614720

STATEMENT – 2

Consolidated Statement of Receipts & Payments GPU Wise & Head wise (Grants) for the year 2014-15 [in Rupees]

	BRGF		REVENUE		VWSC		TFC/SFC/D GRANTS	
GPU	TOTAL RECEIPT	PAYMENT	TOTAL RECEIPT	PAYMENT	TOTAL RECEIPT	PAYMENT	TOTAL RECEIPT	PAYMENT
AHO	796995	474640	138010		68664	64594	1767119	686007
AMBA	717497	488896	34921	0	115572	75240	1413825.6	568777
CHALAMTHANG PACHYKHANI	687628	327983	585186	531603	86618	83052	1345475	1238347
EAST PENDAM	591177		63292		88782	49808	1135023	595501
MANGSHILA TIBUK	2132995	1274247	58170			30360	472248	310100
NAMCHEYBONG	761564	476399	340736	0	66741	61842	865174	926735
NAMOK SWAYEM	2133767	2075050	68982	10	8124	6400	672730	670220
PAKYONG	652481	629459	180696	98083	101928	99660	1798368	1331720
PACHEY SAMSING	592718	221615	129091	8000	86942	79080	1297361	623873
RAMTHANG	2141332	1268889	69672	40	64711	63400	634005	885008
RINGHIM NAMPATAM	2141278	1271848	99045		53165	39580	578629	460390
SINGHIK SENTAM	2146713	1273327	10116		3114		582476	475860
TINGCHIM CHADEY	83001	586216	45929		1654	6400	1027266	949206
TOONG NAGA	2146713	1273327	10116		3114		582476	475860
Grand Total	17725859	11641896	1833962	637736	749129	659416	14172176	10197604

STATEMENT NO. 3

CONSOLIDATED STATEMENT SHOWING REVENUE COLLECTED WITH INSTITUTION-WISE BREAK-UP FOR THE YEAR 2014-15

SL.NO.	GRAM PANCHAYAT UNITS	ACTUAL COLLECTION (in lakhs)
1	04 - EAST PANDAM	0.41
2	06 - CHALAMTHANG PACHEYKHANI	0.62
3	23 - AMBA	0.37
4	24 - PACHEY SAMSING	0.70
5	25 - NAMCHEYBONG	1.50
6	26 - AHO YANGTAM	0.58
7	48 - PAKYONG	0.69
8	05 - RAMTHANG TANER	0.51
9	06 - NAMOK SWAYEM	0.43
10	07 - MANGSHILLA TIBUK	0.84
11	08 - THINGCHIM CHADEY	0.49
12	09 - RINGHIM NAMPATAM	0.69
13	10 - SINGHIK SENTAM	0.82
14	11 - TOONG NAGA	0.45
TOTAL		9.10

STATEMENT NO. 4

CONSOLIDATED STATEMENT SHOWING THE NUMBER OF OBJECTIONS RAISED & AMOUNT(in Rs) INVOLVED WITH INSTITUTION-WISE BREAK-UP FOR THE YEAR 2014-15

	GPU	Data										
	Aho GPU		Common Objections		Mangshila GPU		Pachey Samsing GPU		Pacheykh ani GPU		AMOUNT (IN RS)Total	NoTota l
CATEGORY	AMOUNT (IN RS)	No	AMOUNT (IN RS)	No	AMOUNT (IN RS)	No	AMOUNT (IN RS)	No	AMOUNT (IN RS)	No		
NON PRODUCTION OF RECORDS							50000	1			50000	1
NON REMITTANCE OF DEDUCTIONS / RECOVERIES FROM VOUCHER / PAY BILLS / CONTINGENT BILLS							61164	2			61164	2
VARIATION IN ACCOUNT FIGURES							41000	1			41000	1
VIOLATION OF RULES	11196	1	0	11	0	1			295950	1	307146	14
Grand Total	11196	1	0	11	0	1	152164	4	295950	1	459310	18

CONSOLIDATED AUDIT AND REVIEW REPORT ON THE ACCOUNTS OF MGNREGS FOR THE YEAR 2014-15

OBJECTIVES OF AUDIT

The Local Fund Audit Division being one of the limbs of the Government of Sikkim verifies the following aspects during the course of post audit of MGNREG Schemes.

- Structural mechanisms were put in place and adequate capacity building measures taken by the State Government for implementation of the Act;
- Procedures for preparing perspective and annual plan at different levels for estimating the likely demand for work, and preparing shelf of projects were adequate and effective;
- Funds were released, accounted for and utilised by the Central and State Governments in compliance with the provisions of Act/Rules;
- There was an effective process of registration of households, allotment of job cards,
- and allocation of employment in compliance with the Act/Rules;
- MGNREGA works were properly planned and economically, efficiently and effectively executed in a timely manner and in compliance with the Act and Rules;
- Durable assets were created, maintained and properly accounted for;
- Convergence of the Scheme with other Rural Development Programmes as envisaged was effectively achieved in ensuring sustainable livelihood to the targeted rural community and improving the overall rural economy;
- All requisite records and data were maintained at various levels and data automated completely to provide reliable and timely MIS;
- Complete transparency was maintained in implementation of the Act by involving all stakeholders in various stages of its implementation from planning to monitoring and evaluation; and
- There was effective mechanism to assess the impact of MGNREGS on individual households, local labour market, migration cycle and efficacy of assets created.

AUDIT CRITERIA

Relevant criteria from the file source documents were used to assess the audit objectives:

- MGNREG Act, 2005 and amendments thereto;
- Guidelines - Operational Guidelines 2006, 2008 and 2013 issued by the Ministry of Rural Development, GoI, regarding MGNREGA and the circulars issued by MoRD;
- MGNREGA SIKKIM- Instructions from State Level June 2006-27th April 2015
- Fund Rules 2006, Financial Rules 2009 and Audit of Scheme Rules 2011;
- Reports of the State/District by National Level Monitors, available with MoRD and respective States' MGNREGS Commissioners;
- Muster Roll Watch Guidelines;
- Guidelines/Checklist for internal monitoring by states;
- Performance indicators framed by Government of India/State Governments; and
- MGNREGS Vision, Strategic Framework and Plan of Action (2010-2011) by MoRD.

SCOPE OF AUDIT

The present performance audit covered a period of one year (2014-15). Records of State Nodal Department (RMDD); two districts (East and North), two BACs (Pakyong and Mangen) and 14 GPUs were examined.

AUDIT OBJECTIONS

During the course of audit of these GPUs for the year 2012-13 and 2013-14 various defects noticed were already pointed out in the relevant Audit Reports which were forwarded to the Executive Authorities concerned for further action at their end as per the procedure laid down under the Sikkim Local Fund Audit Act.

CATEGORISATION OF AUDIT OBJECTIONS

The various audit objections are classified into 4 categories as detailed below.

1. Violation of rules
2. Non-remittance of deductions / recoveries from vouchers / pay bills /contingent

bills

3. Wasteful expenditure
4. Advances pending adjustment

Gist of some of the selected audit objections pertaining to the year under report is enumerated below:

AUDIT PARAS

Gist of some of the selected audit objections raised during the year 2014-15 under report is enumerated below:

VIOLATION OF RULES

It was noticed that in some cases the Rules / Government instructions for incurring the expenditure from the funds were violated either due to negligence or ignorance. In certain cases, the funds were utilized for the purposes other than the permitted ones under the Act / Rules. It was also noticed that in a few cases, Government instructions were misunderstood or misinterpreted. Such irregular expenditure incurred was objected to in the relevant Audit Reports.

Improper maintenance of cash book

As per sub rule 1 of rule 5 (The Sikkim Gram Panchayat Financial Rules, 2003) stated that the Bank Reconciliation Statement in the prescribed format on a monthly basis is prepared and the available balance with the bank is reconciled. Under sub rule 2 to 4 of Rule 4 of Sikkim Gram Panchayat (Financial) Rules, 2003, all transactions shall be entered in the cash book as soon as they occur and in order of their occurrence. The pages of each book shall be numbered and the number of pages shall be certified. All receipt and payments shall be duly supported by vouchers which shall be numbered and their number shall be recorded in the cash book. All receipts and payments vouchers shall be kept in order of its number. The Cash Book shall be closed monthly. On scrutiny of Cash Books relating to various schemes of Gram Panchayat, the following shortcomings were noticed:

- The Opening balance & closing balance in the Cash Book are not correct.
- Entries of the voucher numbers are not mentioned.
- None of the vouchers are serially numbered.
- Narration of the transactions has not been recorded properly.

- In most of the transactions, the cash book has not been signed by the concerned authority.
- Monthly reconciliation of accounts with the Bank has not been conducted.

Monthly squaring of accounts

The Act and the Operation Guidelines of MGNREGS stipulated introduction of monthly squaring of accounts to ensure that all money released under MGNREGA is accounted for under (a) bank balance (b) advances (c) expenditure vouchers. Audit noticed that the actual expenditure and available balance, was not readily available. In absence of the system, monthly closing of accounts was not done.

Door to door survey

The NREG Act, 2005 and Operational Guidelines of the MGNREGS stipulated undertaking of a door-to-door survey by a team headed by the President and the Secretary of the Gram Panchayat, Ward members, SC/ST and women residents, and a village-level Government functionary to identify persons willing to register under the Act. Audit noticed that door-to-door survey to identify persons willing to register under the scheme was not conducted either before implementation of the scheme or thereafter by the GP.

Improper maintenance of Records

Maintenance of records under MGNREGA is critical to ensure verifiable compliance with the legal guarantee of 100 days of employment on demand and payment of unemployment allowance. The MGNREGA Operational Guidelines have specified details of records and registers to be maintained at different levels such as Tender/Contract Register, Material Procurement Register, Application Registration Register, Job Card Register, Employment Register, Asset Register, Muster Rolls, Monthly Allotment and Utilization Certificate Watch Register, and MR Receipt Register. The position in this respect noticed during the course of Audit is given below:

According to the MGNREGA Operational Guidelines, digitized Muster Rolls (MRs) with a unique identity number is to be issued from the Block level to GPs and only those musters that are signed/ certified by Programme Officer are considered authentic for generation of pay orders. However, the audit team noticed that in most of the cases, MR bills were not countersigned by the Programme Officer.

On scrutiny, it was revealed that the GPU was not maintaining Cash Book at GPUs but

at the Block Office.

The Job Card Register which gives details of job cards issued to households was maintained in GP, the photographs of members of household were to be attested by the President and Secretary were not done in some of the cases.

The Tender/Contract Register, and Monthly Allotment and Utilization Certificate Watch Register were not maintained in GP.

Improper Monitoring & Evaluation

Timely and proper monitoring of all developmental works executed by the Gram Panchayat in the GPU was the overall responsibility of BDO. Inspection schedule for field visit to monitor the progress of schemes/programmes must drawn up before hand by the Gram Sabha and the details indicating outcome of field visits are to be recorded for initiating corrective actions. Evaluation of the scheme/ programme must be done at Block level.

However, no such monitoring and evaluation were not properly conducted as per records available.

Status of Worksite Material Monitoring Committee (WMMC):

As per notification vide Ref No: 6/ RMDD / MGNREGA dated 07/09/2013, Worksite Material Monitoring Committee comprising of the Ward Panchayat, Mate, 5 Job Card holders and a member of the Vigilance Monitoring Committee (VMC) has to be constituted compulsorily before the commencement of a new work. The Programme Officer must see to it that the WMMC is formed and notified before the commencement of the work and that the Material Received and Consumed Certificate (Form 'A') is certified by the said Committee before billing. The Committee must also receive all the stock and non-stock materials pertaining to the concerned work at the worksite.

However, scrutiny by audit team revealed that the Material Received and Consumed Certificate (Form 'A') was not enclosed with the bills which amount to violation of rules.

Payment on weekly/fortnightly basis

Operation Guidelines of MGNREGS stipulate payment of wages on weekly basis and not later than a fortnight from the date on which work was done (MGNREGA, Section 3(3)), failing which compensation as per the provisions of the Payment of Wages Act 1936 (MGNREGA, Schedule II, Section 30) would be paid by the State Government. Audit checks revealed that payment of wages were delayed due to various reasons.

Wages were paid very late and no compensations were paid to the deprived workers for delay in payment of wages in violation of the Act.

Non issuance of Wages slips to workers

MGNREG Act, 2005 (Para-7.2.1(xi)) and the Operational Guidelines of MGNREGS (Para- 7.2) stipulated issuing of wage slip to the wage earners. On scrutiny by audit, it was noticed that all wage seekers in the GP were not issued with wage slips.

Wage-Material Ratio not maintained

MGNREG Act, 2005 and the Operational Guidelines of MGNREGS stipulated that Wage- Material Ratio has to be maintained as 60:40. However, scrutiny revealed that Wage-Material Ratio seems to have not been maintained as per the Guidelines in all GPUs under Pakyong and Mangan BACs .

Violation of Purchase Procedure

On scrutiny, it is found that most of the supply works under Pakyong BAC were awarded to Ms Banwarilal Omkarmull without inviting quotation/tender or without obtaining PI from STCS/SIMFED by Programme Officer in violation of para no. 11 of Not. No.868/RM & DD/NREGA/08/09 dated 21/02/2009.

Non Contribution by Individual / beneficiary

As per notification vide Ref No: 6/ RMDD / MGNREGA dated 07/09/2013, for works carried out in private lands like land terracing, protective works and household water tanks (other than Natural Calamity works) stone used has to be mandatorily contributed by the beneficiary. MGNREGA funds cannot be used for procurement of these items.

However, on scrutiny of supply bills, it was observed that MGNREGA fund has been utilized to procure stones in contravention with the above provisions.

Worksite facilities

According to the operational guidelines of MGNREGA, Chapter No. 06, Sl.No 6.8.1, the Implementing Agency has to ensure facilities like Medical Aid, Drinking Water, Shade, & Creche if there are more than Five children below the age of Six years in the worksite.

Secondly, as per the rule SL.No. 6.8.2,a person (preferably a women) should be engaged to look after children if more than Five children below the age of Six years are present at the worksite.

Finally, as per the rule SL. No. 6.8.3, normally one crèche should be opened for one worksite or group of worksite which can be optimally utilized by the group of worksite.

The Audit Team observed that there was no arrangement as mentioned above being made in any of the Gram Panchayat Units under the Jurisdiction.

Project Completion Report (PCR) not prepared

According to the operational guidelines of MGNREGA, Chapter No. 06, Sl.No 6.9,a Project Completion Report (PCR) has to be prepared as per the prescribed format in the work register after completion of work. A photograph of completed work should be taken and attached to PCR. Project Completion Report should be placed in the file pertaining to the work in the office of the Implementing Agency.

The Audit Team found that no Project Completion Report was prepared as required by the Operational Guidelines.

NON-REMITTANCE OF DEDUCTIONS / RECOVERIES FROM VOUCHERS / PAY BILLS /CONTINGENT BILLS

It was noticed during the audit that various deductions / recoveries affected from the work bills / pay bills were not remitted to the Government or a part of them only were remitted in spite of statutory obligation to remit the same to Government account within a prescribed time under the relevant statutory provisions which also include penalty as well as prosecution for non-adherence.

Delay in deposit of Government Revenue

On scrutiny of bills, Cash Book and bank statements at Pakyong BAC, it is revealed that although the payments have been made to suppliers on ac supply of materials. However, the taxes, viz VAT, Cess, Forest Royalty, which were deducted from the bills were not deposited into the Government account in time which is in violation of SFR 50 and 51.

Re-validation of cheques.

On scrutiny of Cash Book at Pakyong BAC for the financial year 2014-15, revealed that numerous cheques pertaining to Government revenues were re-validated which were not properly accounted for in the Cash Book. It is also found that no approval of the competent authority for re-validation of time barred cheques was obtained which is highly irregular. Reasons for not remitting revenue cheques in time were not furnished to audit.

WASTEFUL EXPENDITURE

The canons of financial propriety envisaged in the Sikkim Financial Rules are sacrosanct for all Government Authorities entrusted with authorizing or incurring of expenditure from public funds. They are expected under Articles 11 to exercise the same diligence and care in expending public money under their control as persons of ordinary prudence would exercise in respect of their own money.

Government have issued instructions through various orders and also incorporated in the statutes of Local Bodies the various items on which public money can be expended and the principles to be adhered to while expending on such items. Yet, it was noticed in audit that the funds were several times incurred without adhering to the laid down principles leading to the wasteful expenditure of public money. All the cases of such wasteful expenditure observed in the audit were expenditures that were avoidable, extraordinary and lacked proper planning.

Avoidable Expenditure on Tools & Implements

As per para 7.4.2 of Operational Guidelines, it is advised that workers may be facilitated to bring their tools and implements for which appropriate sharpening charges may be paid. Alternatively, if the workers are unable to manage their own tools, these may be arranged by Panchayats/ SHGs etc. The cost of procurement (if any) and maintenance expenditure like sharpening of crowbars etc. shall be booked under material expenditure.

On scrutiny by the audit, it was found that tools and implements (crowbars, baskets, pickaxes, etc.) were procured for each and every work under each GPU. This practice contravened the provisions of the guidelines.

STATEMENT 5(1) : R5.2 Employment Generated during the year 2014-2015

State SIKKIM													
District	No. of Registered		Job Card Issued	Employment demanded		Employment offered		Employment Provided			No. of filled Muster Roll	No. of Families Completed 100 days	On Going works
	Household	Persons		Household	Persons	Household	Persons	Household	Persons	Persondays			
1	2	3	4	5	6	7	8	9	10	11	12	13	14
<u>EAST DISTRICT</u>	25347	43142	25301	13160	15098	13160	15081	12456	14022	588720	5018	871	505
<u>NORTH DISTRICT</u>	7410	12088	7410	7568	7716	7564	7706	7405	7539	160287	1436	0	413
<u>SOUTH DISTRICT</u>	24658	47694	24635	18514	21678	18507	21669	17607	20473	866496	5496	1020	712
<u>WEST DISTRICT</u>	27772	51793	27729	20982	28611	20977	28603	19288	25981	797010	7004	1402	1202
<u>Total</u>	85187	154717	85075	60224	73103	60208	73059	56756	68015	2412513	18954	3293	2832

Source: MIS Report (www.nrega.nic.in)

STATEMENT 5(2) : R5.2 Employment Generated during the year 2014-2015

State : SIKKIM District : EAST DISTRICT Block : PAKYONG													
Panchayat	No. of Registered		Job Card Issued	Employment demanded		Employment offered		Employment Provided			No. of filled Muster Roll	No. of Families Completed 100 days	On Going works
	Household	Persons		Household	Persons	Household	Persons	Household	Persons	Persondays			
1	2	3	4	5	6	7	8	9	10	11	12	13	14
<u>AHO YANGTAM</u>	575	865	575	170	172	170	172	172	174	5805	18	0	22
<u>AMBA</u>	376	826	376	107	122	107	122	99	108	3877	18	8	13
<u>Chalamthang Pacheykhani</u>	547	812	547	0	0	0	0	0	0	0	0	0	17
<u>East Pendam</u>	608	1226	608	320	346	320	346	262	275	5568	82	0	13
<u>KARTOK NAMCHEYBONG</u>	623	957	623	39	39	39	39	38	38	539	5	0	17
<u>PACHEY SAMSING</u>	363	493	363	213	220	213	220	194	201	11415	90	24	22
<u>PAKYONG</u>	455	729	454	0	0	0	0	0	0	0	0	0	7

<u>Total</u>	3547	5908	3546	849	899	849	899	765	796	27204	213	32	111
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Source: MIS Report (www.nrega.nic.in)

STATEMENT 5(3) : R5.2 Employment Generated during the year 2014-2015

State : SIKKIM District : NORTH DISTRICT Block : MANGAN													
Panchayat	No. of Registered		Job Card Issued	Employment demanded		Employment offered		Employment Provided			No. of filled Muster Roll	No. of Families Completed 100 days	On Going works
	Household	Persons		Household	Persons	Household	Persons	Household	Persons	Persondays			
1	2	3	4	5	6	7	8	9	10	11	12	13	14
<u>MANGSHILA TIBUK</u>	507	906	507	481	502	481	502	478	499	6573	70	0	24
<u>NAMOK SHEYAM</u>	345	815	345	307	308	307	308	296	297	5527	57	0	18
<u>RAMTHANG TANGYEK</u>	223	482	223	194	199	194	199	186	191	4663	47	0	17
<u>RINGMIM NAMPATAM</u>	411	553	411	230	234	230	234	226	228	4245	62	0	26
<u>SENTAM</u>	277	570	277	250	258	250	258	250	258	5708	59	0	20
<u>TINGCHIM CHADEY</u>	212	404	212	209	216	209	216	206	213	4219	44	0	15
<u>TUNGNAGA</u>	261	488	261	240	247	240	247	241	245	6116	66	0	24
<u>Total</u>	2236	4218	2236	1911	1964	1911	1964	1883	1931	37051	405	0	144

Source: MIS Report (www.nrega.nic.in)

STATEMENT 6(1) : R5.12 Households Completed 100 days in Financial Year -2014-2015

State : SIKKIM			
S.No	District	House Hold Employed	Persondays Generated
1	2	3	4
1	<u>EAST DISTRICT</u>	871	87500
2	<u>NORTH DISTRICT</u>	0	0
3	<u>SOUTH DISTRICT</u>	1020	102022
4	<u>WEST DISTRICT</u>	1402	140360
	Total	3293	329882

Source: MIS Report (www.nrega.nic.in)

STATEMENT 6(2) : R5.12 Households Completed 100 days in Financial Year -2014-2015**State : SIKKIM District : EAST DISTRICT Block : PAKYONG**

S.No	Panchayat	House Hold Employed	Persondays Generated
1	2	3	4
1	AHO YANGTAM	0	0
2	AMBA	8	800
3	East Pendam	0	0
4	KARTOK NAMCHEYBONG	0	0
5	PACHEY SAMSING	24	2400
	Total	32	3200

Source: MIS Report (www.nrega.nic.in)**STATEMENT 6(3) : R5.12 Households Completed 100 days in Financial Year -2014-2015****State : SIKKIM District : NORTH DISTRICT Block : MANGAN**

S.No	Panchayat	House Hold Employed	Persondays Generated
1	2	3	4
1	MANGSHILA TIBUK	0	0
2	NAMOK SHEYAM	0	0
3	RAMTHANG TANGYEK	0	0
4	RINGMIM NAMPATAM	0	0
5	SENTAM	0	0
6	TINGCHIM CHADEY	0	0
7	TUNGNAGA	0	0
	Total	0	0

Source: MIS Report (www.nrega.nic.in)

STATEMENT 7(1):Financial Performance Under MGNREGA during the Financial Year 2014-2015

State:SIKKIM		District:EAST DISTRICT				Block:PAKYONG										(Rs. in Lakhs)						
S.No	Panchayat	Opening Balance(OB)		Release of current year	Authorisatio n of EFMS	Misc Receipt	Money Refunded by GP to DPC/PO	Total Availability	Cumulative Expenditure								Balance	Payment due*				
		CB as OB	Entered OB						Actual Expenditure				Adm.Exp			Total		On Unskilled Wage	On Semi-skilled and Skilled Wage	On Material	Tax	Total
									On Unskilled Wage	On Semi-skilled and Skilled Wage	On Material	Tax	Rec Exp	Non-Rec Exp	Total Adm. Exp							
1	2	3	4	5	6	7	8	9=4+5+6+7-8	10	11	12	13	14	15	16=14+15	17=10+11+12+13+16	18=9-17	19	20	21	22	23=19+20+21+22
1	AHO YANGTAM								6.72	2.54	11.29	0	0.02	0	0.02	20.57		0	0	0.77	0	0.77
2	AMBA								6.01	1.13	10.1	0	0.02	0	0.02	17.25		0	0	5.07	0	5.07
3	Chalamthang Pacheykhani								0	0	0	0	0.02	0	0.02	0.02		0	0	0	0	0
4	East Pendam								7.82	1.55	15.11	0	0.02	0	0.02	24.51		0	0	0	0	0
5	KARTOK NAMCHEYBONG								0.73	0.17	12.22	0.02	0.02	0	0.02	13.16		0	0	0	0	0
6	PACHEY SAMSING								19.97	2.84	13.09	0	0.02	0	0.02	35.92		0	0	0	0	0
7	PAKYONG								0	0	0	0	0.02	0	0.02	0.02		0	0	0	0	0
	Total								41.25	8.24	61.8	0.02	0.14	0	0.14	111.45		0	0	5.84	0	5.84
Block level Line Deptt.		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
PO		0	0.43		0	0	0	104.47					0.88	0	0.88	0.88	103.59					
Grand Total									41.25	8.24	61.8	0.02	1.02	0	1.02	112.33		0	0	5.84	0	5.84

Note:

These Figures are Cumulatively Display.It Includes GP and Implementing Agencies working at GP level.

Col 3: OB=CB of last FY as per MIS

Col 4: OB=OB entered manually in the MIS

* Payment due means MR,Bills/Vouchers that have been entered but payment date has not been entered in the MIS.

Source: MIS Report (www.nrega.nic.in)

STATEMENT 7(2):Financial Performance Under MGNREGA during the Financial Year 2014-2015

State:SIKKIM		District:NORTH DISTRICT		Block:MANGAN														(Rs. in Lakhs)				
S.No	Panchayat	Opening Balance(OB)		Release of current year	Authorisatio n of EFMS	Misc Receipt	Money Refunded by GP to DPC/PO	Total Availability	Cumulative Expenditure								Balance	Payment due*				
		Actual Expenditure							Adm.Exp			Total	On Unskilled Wage	On Semi-skilled and Skilled Wage	On Material	Tax						
		CB as OB	Entered OB						Rec Exp	Non-Rec Exp	Total Adm. Exp											
1	2	3	4	5	6	7	8	9=4+5+6+7-8	10	11	12	13	14	15	16=14+15	17=10+11+12+13+16	18=9-17	19	20	21	22	23=19+20+21+22
1	MANGSHILA TIBUK								10.19	2.34	34.1	1.59	0	0	0	48.23		0	0	0	0	0
2	NAMOK SHEYAM								8.57	3.76	22.39	0	0	0	0	34.72		0	0	4.63	0	4.63
3	RAMTHANG TANGYEK								7.23	2.33	12.61	0.06	0	0	0	22.23		0	0	17.02	0	17.02
4	RINGMIM NAMPATAM								6.58	3.6	16.72	0.03	0	0	0	26.92		0	0	2.01	0	2.01
5	SENTAM								7.26	0.6	7.95	0	0	0	0	15.81		0	0	0	0	0
6	TINGCHIM CHADEY								6.54	1.35	14.28	0	0	0	0	22.17		0	0	3.73	0	3.73
7	TUNGNAGA								9.23	1.2	15.56	0.53	0	0	0	26.52		0	0	0	0	0
	Total								55.59	15.18	123.62	2.21	0	0	0	196.61		0	0	27.39	0	27.39
Block level Line Deptt.		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
PO		0	18.37		0	0	0	219.97					12.44	0	12.44	12.44	207.53					
PO Fund in transit								20.56														
Grand Total									55.59	15.18	123.62	2.21	12.44	0	12.44	209.05		0	0	27.39	0	27.39

Note:

These Figures are Cumulatively Display.It Includes GP and Implementing Agencies working at GP level.

Col 3: OB=CB of last FY as per MIS

Col 4: OB=OB entered manually in the MIS

* Payment due means MR,Bills/Vouchers that have been entered but payment date has not been entered in the MIS.

Source: MIS Report (www.nrega.nic.in)

STATEMENT 8(1):R7.1.4 Outlays & Outcomes during Financial Year 2014-2015

State: SIKKIM

Sl. No.	District	Cumulative Expenditure (Rs. in Lakhs)										Employment Provided			Average days employment provided per HH	Average Wage per person day (In Rs.)	Works		Cost Per Person day (in Rs.)
		On Unskilled Wage		On Material		Adm.Exp			Total			House hold	Persons	Person days			comp.	In-pr og.	
		2014-2015	Liability of 2013-2014	2014-2015	Liability of 2013-2014	Rec Exp	Non-Rec Exp	Total Adm. Exp	2014-2015	Liability of 2013-2014	Total								
1	EAST DISTRICT	861.09	0	924.41	153.07	90.54	0.77	91.31	1876.81	153.07	2029.88	12456	14022	588720	47.26	154.85	461	505	328.38
2	NORTH DISTRICT	243.97	0.83	384.77	0.91	43.9	0.41	44.31	673.04	1.74	674.78	7405	7539	160287	21.65	165.89	100	413	482.21
3	SOUTH DISTRICT	1187.49	0.1	957.68	8.18	92.08	0.17	92.25	2237.42	8.27	2245.69	17607	20473	866496	49.21	155.02	738	712	278.8
4	WEST DISTRICT	937.17	262.08	1110.13	144.49	121.08	0.91	121.99	2169.29	406.57	2575.85	19288	25981	797010	41.32	154.94	462	1202	318.64
	Total	3229.72	263.01	3376.99	306.65	347.6	2.26	349.86	6956.56	569.65	7526.2	56756	68015	2412513	42.51	155.68	1761	2832	317.57

Source: MIS Report (www.nrega.nic.in)

STATEMENT 8(2):R7.1.4 Outlays & Outcomes during Financial Year 2014-2015

State: SIKKIM District : EAST DISTRICT Block : PAKYONG

Sl. No.	Panchayat	Cumulative Expenditure (Rs. in Lakhs)										Employment Provided			Average days employment provided per HH	Average Wage per person day (In Rs.)	Works		Cost Per Person day (in Rs.)
		On Unskilled Wage		On Material		Adm.Exp			Total			House hold	Persons	Person days			com p.	In-pro g.	
		2014-2015	Liability of 2013-2014	2014-2015	Liability of 2013-2014	Rec Exp	Non-Rec Exp	Total Adm. Exp	2014-2015	Liability of 2013-2014	Total								
1	AHO YANGTAM	6.72	0	11.83	2	0.02	0	0.02	18.57	2	20.57	172	174	5805	33.75	155	1	22	372.43
2	AMBA	6.01	0	11.23	0	0.02	0	0.02	17.25	0	17.25	99	108	3877	39.16	155	4	13	575.71
3	Chalamthang Pacheykhani	0	0	0	0	0.02	0	0.02	0.02	0	0.02	0	0	0	0	0	0	17	0
4	East Pendam	7.82	0	16.66	0	0.02	0	0.02	24.51	0	24.51	262	275	5568	21.25	140.54	10	13	440.11
5	KARTOK NAMCHEYBONG	0.73	0	12.41	0	0.02	0	0.02	13.16	0	13.16	38	38	539	14.18	135	4	17	2441.93
6	PACHEY SAMSING	19.97	0	12.49	3.43	0.02	0	0.02	32.49	3.43	35.92	194	201	11415	58.84	155	2	22	264.65
7	PAKYONG	0	0	0	0	0.02	0	0.02	0.02	0	0.02	0	0	0	0	0	0	7	0
	Total	41.26	0	64.62	5.43	0.14	0	0.14	106.02	5.43	111.45	765	796	27204	35.56	151.64	21	111	411.17

Source: MIS Report (www.nrega.nic.in)

STATEMENT 8(3):R7.1.4 Outlays & Outcomes during Financial Year 2014-2015

State: SIKKIM District : NORTH DISTRICT Block : MANGAN

Sl. No.	Panchayat	Cumulative Expenditure (Rs. in Lakhs)										Employment Provided			Average days employment provided per HH	Average Wage per person day (In Rs.)	Works		Cost Per Personday (in Rs.)
		On Unskilled Wage		On Material		Adm.Exp			Total			Household	Persons	Persondays			comp.	In-pr og.	
		2014-2015	Liability of 2013-2014	2014-2015	Liability of 2013-2014	Rec Exp	Non-Rec Exp	Total Adm. Exp	2014-2015	Liability of 2013-2014	Total								
1	MANGSHILA TIBUK	10.19	0	38.04	0	0	0	0	48.23	0	48.23	478	499	6573	13.75	155	0	24	733.7
2	NAMOK SHEYAM	8.57	0	26.16	0	0	0	0	34.72	0	34.72	296	297	5527	18.67	155	0	18	712.02
3	RAMTHANG TANGYEK	7.23	0	15	0	0	0	0	22.23	0	22.23	186	191	4663	25.07	155	0	17	841.72
4	RINGMIM NAMPATAM	6.58	0	20.34	0	0	0	0	26.92	0	26.92	226	228	4245	18.78	155	0	26	681.67
5	SENTAM	7.26	0	8.55	0	0	0	0	15.81	0	15.81	250	258	5708	22.83	155	0	20	304.79
6	TINGCHIM CHADEY	6.54	0	15.63	0	0	0	0	22.17	0	22.17	206	213	4219	20.48	155	0	15	613.88
7	TUNGNAGA	9.23	0	17.29	0	0	0	0	26.52	0	26.52	241	245	6116	25.38	155	0	24	437.74
	Total	55.6	0	141.01	0	0	0	0	196.6	0	196.6	1883	1931	37051	19.68	155	0	144	609.52

Source: MIS Report (www.nrega.nic.in)

STATEMENT 9(1):R14.1 Delayed Compensation FY : 2014-2015

State : SIKKIM

S.No	District	Delayed compensation					Rejection Reason(In Days)				delayed compensation Paid [In Rs.]
		Payable PersonDays	Payable (In Delay Days)	Payable Amount [In Rs.]	Approved (In Delay Days)	Rejected (In Delay Days)	Insufficient Fund	Natural Calamities	Compensation not due	Other	Amount In Rs.
1	2	3	4	5	6	7	8	9	10	11	12
1	<u>EAST DISTRICT</u>	487155	2250606	2129709	0	1237796	43566	344	1193886	0	0
2	<u>NORTH DISTRICT</u>	38521	354905	317296	0	0	0	0	0	0	0
3	<u>SOUTH DISTRICT</u>	376937	1412089	1211112	0	469681	98254	254337	117090	0	0
4	<u>WEST DISTRICT</u>	385056	4576335	3611406	0	190492	50480	0	140012	0	0
	Total	1287669	8593935	7269523	0	1897969	192300	254681	1450988	0	0

Source: MIS Report (www.nrega.nic.in)

STATEMENT 9(2):R14.1 Delayed Compensation FY : 2014-2015

State : SIKKIM District : EAST DISTRICT Block : PAKYONG

S.No	Panchayat	Delayed compensation					Rejection Reason(In Days)				delayed compens ation Paid [In Rs.]
		Payable PersonDays	Payable (In Delay Days)	Payable Amount [In Rs.]	Approved (In Delay Days)	Rejected (In Delay Days)	Insufficient Fund	Natural Calamities	Compensation not due	Other	Amount In Rs.
1	2	3	4	5	6	7	8	9	10	11	12
1	AHO YANGTAM	2010	5008	<u>5853</u>	0	5008	0	0	5008	0	0
2	AMBA	340	448	<u>483</u>	0	392	0	0	392	0	0
3	Chalamthang Pacheykhani	0	0	0	0	0	0	0	0	0	0
4	East Pendam	2901	14369	<u>10920</u>	0	14369	0	0	14369	0	0
5	KARTOK NAMCHEYBONG	0	0	0	0	0	0	0	0	0	0
6	PACHEY SAMSING	6614	20502	<u>16698</u>	0	16208	0	0	16208	0	0
7	PAKYONG	0	0	0	0	0	0	0	0	0	0
	Total	11865	40327	33954	0	35977	0	0	35977	0	0

Source: MIS Report (www.nrega.nic.in)

STATEMENT 9(3):R14.1 Delayed Compensation FY : 2014-2015

State : SIKKIM District : NORTH DISTRICT Block : MANGAN

S.No	Panchayat	Delayed compensation					Rejection Reason(In Days)				delayed compens ation Paid [In Rs.]
		Payable PersonDays	Payable (In Delay Days)	Payable Amount [In Rs.]	Approved (In Delay Days)	Rejected (In Delay Days)	Insufficient Fund	Natural Calamities	Compensation not due	Other	Amount In Rs.
1	2	3	4	5	6	7	8	9	10	11	12
1	MANGSHILA TIBUK	600	1150	<u>1050</u>	0	0	0	0	0	0	0
2	NAMOK SHEYAM	0	0	0	0	0	0	0	0	0	0
3	RAMTHANG TANGYEK	0	0	0	0	0	0	0	0	0	0
4	RINGMIM NAMPATAM	0	0	0	0	0	0	0	0	0	0
5	SENTAM	1076	30582	<u>9782</u>	0	0	0	0	0	0	0
6	TINGCHIM CHADEY	0	0	0	0	0	0	0	0	0	0
7	TUNGNAGA	0	0	0	0	0	0	0	0	0	0
	Total	1676	31732	10832	0	0	0	0	0	0	0

Source: MIS Report (www.nrega.nic.in)

STATEMENT 10(1):R7.2.2 Delayed Payment
Financial Year - 2014-2015
State : SIKKIM

Unit (Rs. in Lakhs)

S.No	District	Delayed Payment Between 15-30 Days		Delayed Payment Between 30-60 Days		Delayed Payment Between 60-90 Days		Delayed Payment more than 90 Days		Total Delayed Payment		Total Payment For Financial Year 2014-2015	
		Total Transaction s	Amount Involve d	Total Transaction s	Amount Involve d	Total Transaction s	Amount Involve d	Total Transaction s	Amount Involve d	Total Transaction s	Amount Involve d	Total Transaction s	Amount Involve d
1	2	3	4	5	6	7	8	9	10	11	12	13	14
1	EAST DISTRICT	6488	123.31	13483	245.68	11730	217.58	9680	186.56	41381	773.13	48565	903.67
2	NORTH DISTRICT	427	7.84	826	7.97	199	2.43	2804	53.74	4256	71.98	15787	255.98
3	SOUTH DISTRICT	10769	186.4	13754	242.67	7135	119.51	3597	60.89	35255	609.47	77449	1342.29
4	WEST DISTRICT	5651	88.84	5244	84.47	3668	59.2	24458	388.89	39021	621.4	72311	1177.46
		23335	406.39	33307	580.79	22732	398.72	40539	690.08	119913	2075.98	214112	3679.4

Source: MIS Report (www.nrega.nic.in)

STATEMENT 10(2):R7.2.2 Delayed Payment

Financial Year - 2014-2015

State : SIKKIM District : EAST DISTRICT

Unit (Rs. in Lakhs)

S.No	Block	Delayed Payment Between 15-30 Days		Delayed Payment Between 30-60 Days		Delayed Payment Between 60-90 Days		Delayed Payment more than 90 Days		Total Delayed Payment		Total Payment For Financial Year 2014-2015	
		Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved
1	2	3	4	5	6	7	8	9	10	11	12	13	14
1	DUGA	625	11.66	606	10.24	548	10.28	410	7.07	2189	39.25	3445	59.31
2	GANGTOK	880	18.11	1586	31.05	1334	27.63	2019	44.79	5819	121.58	6611	137.76
3	KHAMDON G	286	5.48	836	16.27	759	14.54	303	6.12	2184	42.41	2514	48.92
4	Martam	304	6.26	631	11.18	427	8.48	235	4.36	1597	30.28	1973	36.08
5	PAKYONG	567	10.3	863	15.43	304	5.02	118	1.82	1852	32.58	3067	54.84
6	Parkha	936	18.94	639	13.47	339	6.65	522	10.28	2436	49.34	2624	53.56
7	RAKDONG TINTEK	377	6.3	1114	20.83	1227	21.75	1124	19.48	3842	68.36	4685	83.82
8	RANKA	337	4.53	2422	39.76	1943	30.32	1226	20.05	5928	94.66	6146	98.31
9	REGU	1203	21.73	2910	51.22	3637	71.28	2396	44.52	10146	188.75	11431	211.96
10	RHENOCK	973	20	1876	36.22	1212	21.62	1327	28.07	5388	105.91	6069	119.12
		6488	123.31	13483	245.67	11730	217.57	9680	186.56	41381	773.12	48565	903.68

Source: MIS Report (www.nrega.nic.in)

STATEMENT 10(3):R7.2.2 Delayed Payment
Financial Year - 2014-2015
State : SIKKIM District : NORTH DISTRICT

Unit (Rs. in Lakhs)

S. No	Block	Delayed Payment Between 15-30 Days		Delayed Payment Between 30-60 Days		Delayed Payment Between 60-90 Days		Delayed Payment more than 90 Days		Total Delayed Payment		Total Payment For Financial Year 2014-2015	
		Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved
1	2	3	4	5	6	7	8	9	10	11	12	13	14
1	<u>CHUNGTHANG</u>	146	3.23	169	2.58	199	2.43	1747	41.68	2261	49.92	3114	73.67
2	<u>DZONGU</u>	167	3.47	251	1.32	0	0	851	10.78	1269	15.57	4481	68.72
3	<u>KABI TINGDA</u>	63	0.59	323	2.84	0	0	0	0	386	3.42	3748	56.17
4	<u>MANGAN</u>	51	0.55	83	1.24	0	0	206	1.28	340	3.08	4444	57.43
		427	7.84	826	7.98	199	2.43	2804	53.74	4256	71.99	15787	255.99

Source: MIS Report (www.nrega.nic.in)

GOVERNMENT OF SIKKIM
FINANCE, REVENUE & EXPENDITURE DEPARTMENT

PART – II

CONSOLIDATED AUDIT AND REVIEW REPORT ON THE ACCOUNTS OF MUNICIPAL CORPORATION FOR THE YEAR 2014-15

DIRECTORATE OF LOCAL FUND AUDIT
DEORALI, SIKKIM

CONTENTS

STATEMENT No.	DESCRIPTION OF STATEMENTS OF CONSOLIDATED LOCAL FUND AUDIT AND REVIEW REPORT OF MUNICIPAL CORPORATION, FOR THE YEAR 2014-15	PAGE No.
II	Introductions and a few selected audit objections of Municipal corporation category wise	Part-II (1)
1	Statement of Consolidated Receipts & Payments of Municipal Corporation.	Part-II (14)
	1(i)Statement of Consolidated Receipts & Payments of Municipal Corporation for the year 2012-13	Part-II (14)
	1(ii)Statement of Consolidated Receipts & Payments of Municipal Corporation for the year 2013-14	Part-II (14)
2	Statement of Consolidated Grant wise Receipts and Payments of Municipal Corporation for the year 2012-13 & 2013-14	Part-II (15)
3	Statement showing the Number of Audit objections category wise for the period under audit	Part-II (15)

INTRODUCTION

1.1 Under the Sikkim Local Fund Audit Act, 2012 the Director of Local Fund Audit, Sikkim, Deorali, is made in charge of the audit of the funds of local authorities and other authorities specified in the Schedule prescribed in the said Act. By virtue of this legal position the Director of Local Fund Audit, Sikkim, Deorali, is the Auditor for the accounts of the Municipal Corporation constituted in the State of Sikkim viz. Gangtok Municipal Corporation.

1.2 The Department conducts post audit of the Municipal Corporation. Audit Reports consisting of defects noticed in audit is issued to the Commissioner of the Municipal Corporation concerned who has to take action for rectifying the defects pointed out in the Audit Report.

1.3 Under the Local Fund Audit Act, the Director is vested with the power of disallowing every item of the expenditure incurred contrary to the law and surcharge the same on the person incurring or authorizing the incurring of such expenditure and may charge against any person responsible there for, the amount of any deficiency, loss or unprofitable out lay occasioned by the negligence or misconduct of that person or of any such sum which ought to have been accounted for but is not brought into account by that person and shall, in every such case, certify the amount due from such person.

SCOPE OF AUDIT

2.1 The Local Fund Audit Division verifies the following aspects during the course of post audit of the Municipal Corporation.

Whether the amounts collected like taxes, fees etc., by the Municipal Corporation were properly accounted for with full details in the books of accounts of the Municipal Corporation concerned.

Whether adequate care has been taken in periodical checking up of the funds with Treasury or Bank.

Whether expenditure incurred is provided for in the Budget of the Municipal Corporation and duly sanctioned by the competent authority under the relevant rules and executive instructions issued by the Government.

Whether funds are utilized only for the permitted purposes prescribed under the Sikkim Municipalities Act, 2007 Rules.

Whether the procedure prescribed by Government in incurring the expenditure/payments made is properly followed and accounted for with due classification in the books of accounts of the Municipal Corporation.

Whether vouchers for the expenditure incurred were maintained.

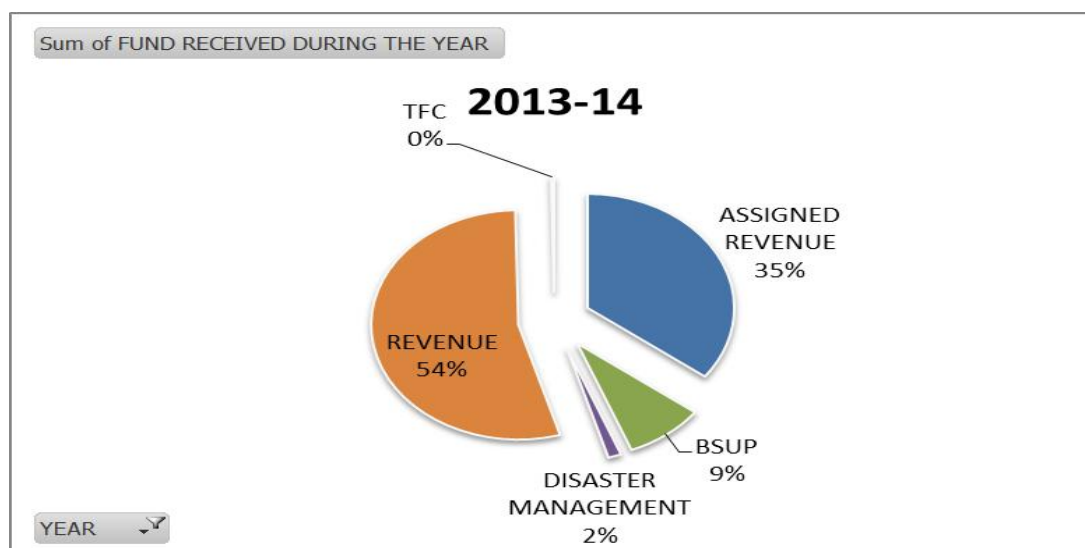
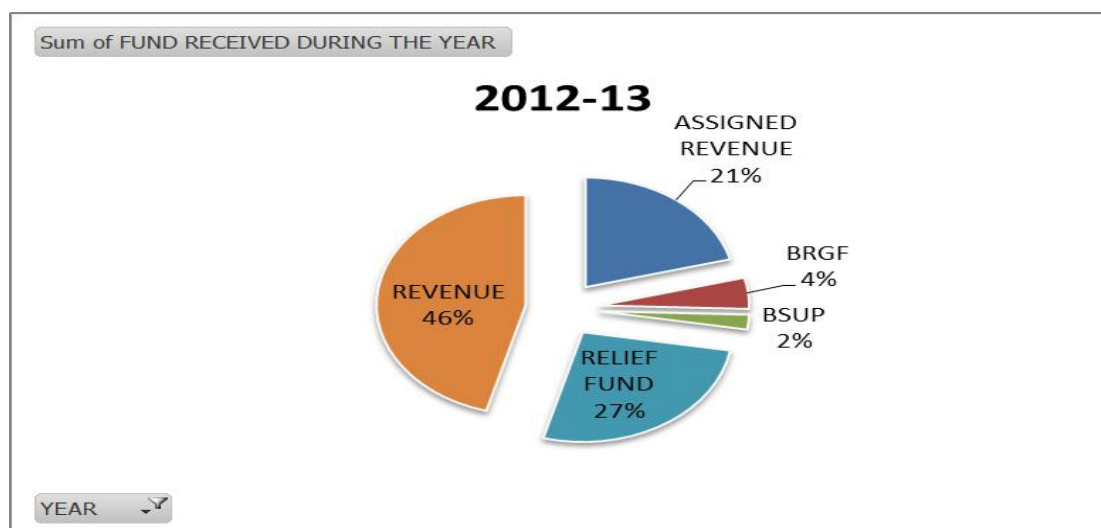
Whether grants received from different sources were properly accounted for and utilized for the purposes for which they were meant.

GRANTS RECEIVED DURING THE YEAR BY THE MUNICIPAL CORPORATION.

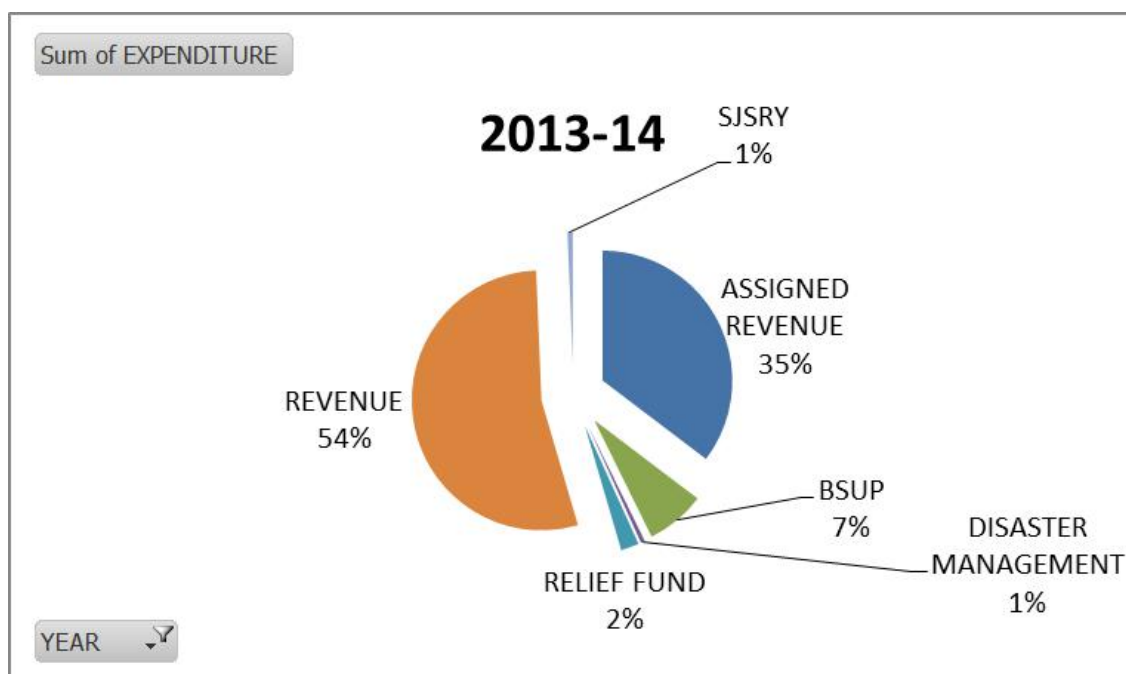
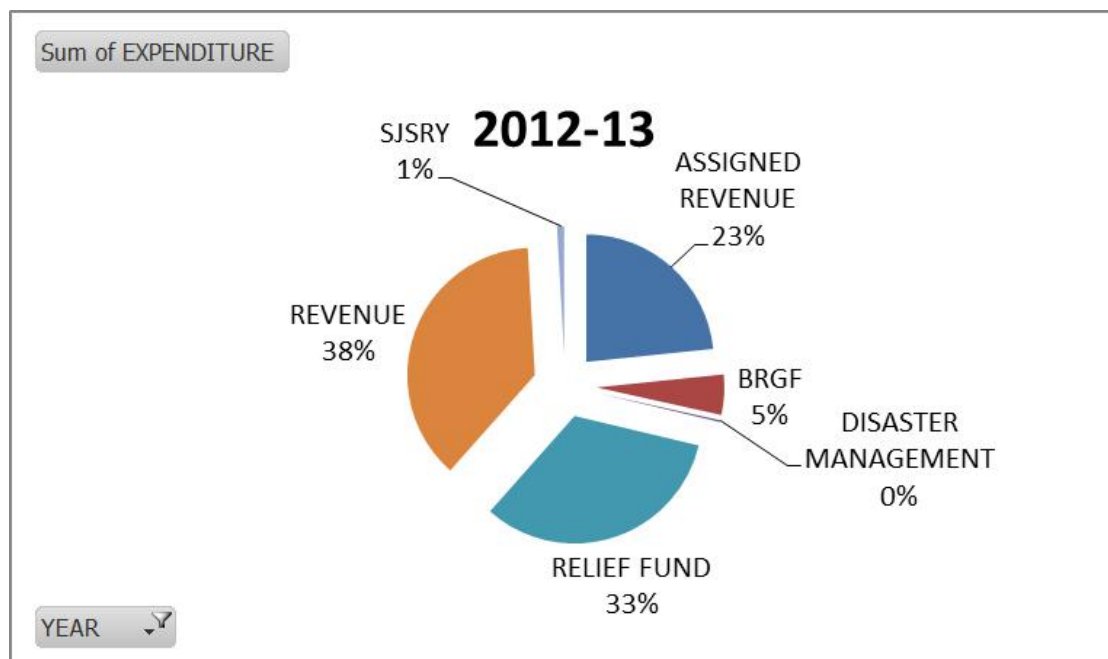
3.1 The Municipal Corporation are provided grants by the State / Central Governments to implement the schemes entrusted to them and also for over all development of the area under their jurisdiction.

3.2 The Receipts and Payments are inclusive of the various Grants received from Central and State Governments during the year 2012-13 and 2013-14 by the Municipal Corporation. The fund wise statement of Gangtok Municipal Corporation is detailed in Statement No.1.

The Fund Wise Receipts of Gangtok Municipal Corporation for the year 2012-13 & 2013-14 are exhibited below in the Pie chart.



The Fund Wise Payments of Gangtok Municipal Corporation for the year 2012-13 & 2013-14 are exhibited below in the Pie chart.

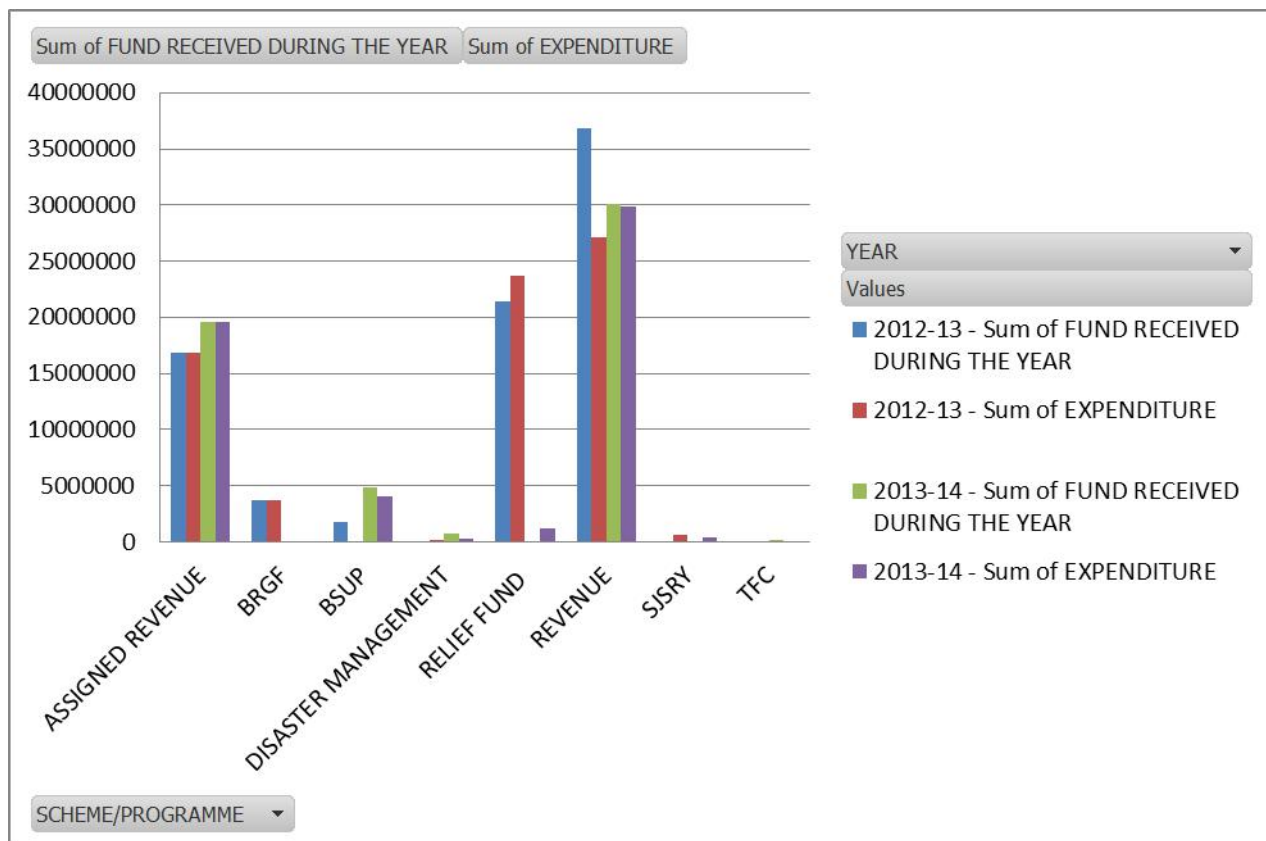


STATUS OF AUDIT

4.1 Audit of Municipal Corporation for the year 2012-13 and 2013-14 was conducted.

4.2 The pattern of Receipts and Payments (Fund wise) of the GMC for the Year

2012-13 and 2013-14 exhibited in the Bar graph chart



AUDIT OBJECTIONS

5.1 During the course of audit of Municipal Corporation for the year 2012-13, 2013-14 various defects noticed were already pointed out in the relevant Audit Reports which were forwarded to the Municipal Commissioner for further action at their end as per the procedure laid down under the Sikkim Local Fund Audit Act.

5.2 A total number of 20 audit objections were raised in the audit of the Municipal Corporation during the year under report.

5.3 CATEGORISATION OF AUDIT OBJECTIONS

The various audit objections are classified into 8 categories as detailed below.

1. Diversion of Grants / Funds
2. Variation in account figures
3. Non-utilization of grants before lapsable date

4. Advances pending adjustment
5. Mis-utilisation of grants / funds
6. Non-remittance of deductions / recoveries from vouchers / pay bills /contingent bills
7. Excess payments
8. Violation of rules
9. Wasteful expenditure
10. Non production of records

5.4 Consolidated Statements showing the various Audit Objections raised in the Audit Reports with amounts involved category-wise are annexed at the Report [Statements 4].

AUDIT PARAS

VARIATION IN ACCOUNT FIGURES

It was observed in the audit that there are certain variations between the Account Figures of Bank Passbook and Cash Book.

Variation in account figures in Revenue Receipt of GMC-Rs 93,118

Revenue received on certain dates as enclosed in the Annexure No. 1 has been deposited lately into the bank due to which bank statement does not tally with cash book thereby making a difference of Rs 93,118.

NON-UTILISATION OF GRANTS WITHIN THE TIME FRAME

Government releases special grants to the local bodies for implementing specific schemes. These grants are to be utilized for the purposes for which they are meant for duly following the relevant guidelines.

Grants-in-Aid Fund not utilized

There are three cases in which Grant-in-Aid fund received in a particular financial year were spent in the succeeding financial year thereby causing differences in receipts and payments of the respective financial year. Hence, full potential and objectives of the scheme was hindered as well as execution of work was considerably delayed.

ADVANCES PENDING ADJUSTMENT

It was observed during the course of audit that temporary advances paid for specific purpose were outstanding for a long time though they should have been got adjusted through detailed bills and vouchers as soon as possible as per Sikkim Financial Rules. It was also observed that huge amounts of personal advances are also outstanding for a long time due to the inaction on the part of the Drawing & Disbursing Officer.

Advance of Rs 25,000 /- each for seven wards under GMC amounting to Rs 1,75,000 /- for cleaning of Jhora:

While scrutinizing file No.1 (30)/GMC/2010, Scheme relating Disaster Management, advance of Rs 25,000 /- each for seven wards under GMC amounting to Rs 1,75,000 /- for cleaning of Jhora has been released vide cheque No.473709 dated:13/06/2012

during financial Year 2012-13.adjustment for the same has not been done till date. The names of the wards are, Chandmari, Development Area, Arithang, Lower MG Marg, Upper MG Marg, Daragoan & Ranipool.

Advance T.A not adjusted-Rs 1,01,479/-

In a case of advance T.A for attending of Workshop in Delhi vide Cheque No.563888 dated;22.11.2013, an advance TA to the tune of 1,01,479/-was drawn but no adjustment of the advance drawn was made till the date covered by audit.

DIVERSION OF FUND

Diversion of Disaster Management Scheme Fund:

On scrutiny of Disaster Management Scheme file it was revealed that fund from GOI had released fund for Rs.8,00,000/- for conducting ward level training under Disaster Management and towards project on climate risk management in urban areas. But it is found that GMC has diverted Rs. 2,31,000/- for payment on ac printing of 2000 copies of GMC calendars, vide cheque no. 473711 dt. 03.03.2014 from the above scheme fund which is highly irregular.

NON-REMITTANCE OF DEDUCTIONS / RECOVERIES:

It was noticed during the audit that various deductions / recoveries affected from the work bills / pay bills were not remitted to the Government or a part of them only were remitted in spite of statutory obligation to remit the same to Government account within a prescribed time limit under the relevant statutory provisions which also include penalty as well as prosecution for non- adherence.

Non deduction of 3% printing commission charges-Rs.7,321/-

Scrutiny of vouchers revealed that the GMC had spent an amount of Rs.2,44,046/- (Rs 2,31,000 + 13,046) for printing work from private press.

However, 3% commission charges amounting to Rs.7,321/- had not been deducted resulting loss of government revenue.

Irregularities in works executed under Basic Service for Urban Poor (BSUP):

While going through the file No.1(419)/GMC/2013 in respect of BSUP, the Audit party found the following three schemes executed by GMC.

NAME OF WORK	REFERENCE	SANCTION AMOUNT	CONTRACTOR PROFIT @ 10%	ENV CESS @1%	LABOUR CESS @1%
a.Beautification of public foot path from Tibet Road to Kazi Road Gangtok.	vide nsp No 05.	Rs 27,36,800	237680	23768	23768
b.Erecting street lights along the above foot path.	vide nsp No.5.	Rs 3,39,153	33915	3392	3392
c.Providing Steenlees Steel Balustrate along the foot path from Tibet Road to Kazi Road.	vide nsp No.08.	Rs 3,59,800	35980	3598	3598
TOTAL			307575	30758	30758

The Audit team observed the following irregularities in the above schemes.

(i).Though the work was executed departmentally, 10% contractor's profit from the estimated cost was not deducted while making payment. This has caused an excess expenditure of Rs. 307575/- in the scheme.

ii.Advance register is not maintained for the above works.

iii.Measurement Book for the works was not produced to the Audit team.

iv. Royalty amount was not realized for the total quantity of stones, sand and stones chips used for the scheme. Royalty statement was not prepared to support the works bill. As per the bill,the quantity of stone used was 3500 cft. for which no royalty was found paid. The quantity of stone chips used is 4000 cft. for which royalty of 1040 cft. only was paid. The quantity of sand used is 2400 cft. for which royalty was paid for 640 cft. Only. The total quantity of cement used is 1010 bags.i.e 505 qtls. against the sanctioned quantity of 1038 bags i.e 519 qtls. The use of sand and stone chips,as stated above are not in the proportion with respect to the use of cement as given in the estimate.

v. Despite the fact that 1 % of estimated cost was incorporated in the estimate with regard to the labour cess, Labour Clearance was not obtained from the concerned department. This has caused over-payment to the extent of the 1 % of the estimated cost.

vi.Vat was not realized for the purchase of cement.

vii.Bill submitted by the supplier has no detail of TIN.

viii.There was no theoretical statement with the bill.

ix.Environmental cess of 1 % of the estimated cost was not realized from the scheme.

EXCESS PAYMENTS

It was observed that in several cases, excess payments were made due to either.

- Incorrect calculations or
- Arithmetic errors in Bills or
- Admission of inadmissible claims or
- Lack of knowledge of Government instructions.

Excess Payment of Conveyance Allowance- Rs 16,621/-.

While going through the Monthly Pol File SK.07/GMC/ACCOUNT/10-11, it is noticed that the rate of drawl of pol is not followed by GMC as per norms, of Circular no.30/home/2005 dated,26/12/2005. All details regarding the same has been mentioned below.

SL NO	VECHILE NO	TYPES O VECCHI LE	ATTACH ED TO	ADMISSIBL E QUANTITY	POL DRAWN	EXCESS QUANTIT Y (Ltrs)	RATE as on 01/03/2014 (Rs)	EXCES S AMOU NT PAID (Rs)
1	SK.01.G 1470	BOLERO	M.C	60 ltrs	150 ltrs	90	57.61	5184.9
2	SK.01.G 1752	BOLERO	DY. M.C	60 ltrs	100 ltrs	40	57.61	2304.4
3	SK.01.G 1629	ALTO	B.O	30 ltrs	90 ltrs	60	76.1	4566
4	SK.01.G 1634	ALTO	M.F.O	30 ltrs	60 ltrs	30	76.1	2283
5	SK.01.G 1759	ALTO	A.M.C	30 ltrs	60 ltrs	30	76.1	2283
	TOTAL							16621.3

In the absence of approved rules in force, officers of MC should follow the above mentioned circular. The officers should draw pol in excess of prescribed ceiling limit only on the basis of approved tour programme.

Excess payment on Repairs of vehicle- Rs 6,12,468/-

The audit team observed that the expenditure on repair of vehicle No. S.K.01-D.1822 (Truck) amounting to Rs 6,12,468/- which is very high in a single financial year.

SL NO	CHEQUE NO	DATE	AMOUNT	GROSS
1.	552048	18.04.2013	20325	
2.	563537	20.7.2013	4026	
3.	198732	12.3.2014	528045	
		TOTAL	552396	612468

VIOLATION OF RULES

It was noticed in the audit that in some cases the Rules / Government instructions for incurring the expenditure from the funds of the MCs were violated either due to negligence or ignorance. In certain cases, the funds of the MCs were utilized for the purposes other than is permitted under the Act / Rules. It was also noticed that in few cases, Government instructions were not followed. Such irregular expenditure incurred was objected to in the relevant Audit Reports.

In this context it is worth to mention that as per Appendix- 3 A of Sikkim Financial Rule, vehicles requiring repairs shall first be examined by the SNT Division ,Transport Department , who shall be the sole authority to examine the vehicles and certify the extent of repairs that are necessary and work order shall be issued on the basis of competitive tenders/quotations for all types of repair works from the authorized garages and the purchase of spare parts shall be made from manufacturers, authorized dealers/ agencies on the basis of competitive rates duly verified by SNT Division, Transport Department,. The GMC has not been following the instruction contained in the above rule.

Rules not framed

The Gangtok Municipal Corporation has neither framed any financial rules/guidelines nor following Sikkim Financial Rules properly to regulate their financial matter. The GMC is incurring expenditure on their own decision by passing resolutions in the house.

With reference to letter from UDHD bearing reference no. 51/GOS/UDHD/DEAAS/ULB/Acct dt. 8.2.11, M/S G Choudary and Associates was appointed to take up the job of preparation and execution of “Operational of Double Entry Accrual Accounting in seven ULBs”. However, even after passing of more than 4 years as on date, no such approved rules/guidelines have been made available. The Gangtok Municipal Corporation is advised to frame financial rules/guidelines and get them passed from Competent Authority as soon as possible.

Comparative statement not signed by one of the competent authorities - Rs 23,230/-

Payment amounting to Rs 23,230/- was made to M/S Abishek Enterprise vide Cheque No.207383, dated 18/02/2014 on ac supply of cement and other items for repairing of Kanchenjunga Shopping Complex, comparative statement has been signed by J.E, also. The comparative statement was signed by J.E, A.E and D.E. As per the norms among the Officers signing comparative statement, there should be a representative of Finance Department also.

Technical Report from SNT not obtained - Rs 71,320/-

Scrutiny of records revealed that the GMC has done the repair of garbage vehicle SK 01D 1827 (407) amounting to Rs 71,320/- vide cheque no 198802 dt 31.03.2014 through an unauthorized garages. Technical Report from SNT was not obtained and verification of rate was also not done.

Unauthorized expenditure - Rs31,00,000/-

While going through the file No. 93/Acct/GMC in respect of “Proposal for purchase of JCB 2 DX Balk-hoe Loader” the Audit team noticed a payment of Rs15.50 lakhs made vide Cheque No.552138 dated: 24/05/2013 and cheque no.478021 dt 24/05/2015 (Rs 2,99,000/-and Rs 12,51,000/- respectively). The proposal was sanctioned by Municipal Councilor who is not a competent Authority and authorizing expenditure by an incompetent authority is highly irregular.

Unauthorized purchase of vehicle furnishing items- Rs 55,141/-

Payment amounting to Rs.55,141/- on ac furnishing items of newly purchased vehicle SK.07./A.TR.5567, (Bolero,Zlx) attached to Municipal Commissioner, was paid to T.T Auto Works vide Cheque No.564144 dated;01/02/2014, wherein;

a.Seat cover Rexion 1 set @ 9800/- has been purchased but as per para 15 of Appendix 3 (A) of Sikkim Financial Rule, maximum amount authorized for seat cover including stitching charge should not exceed Rs.5000/-.

b.Perfume of Rs. 680/- has been purchased which is not authorized as per SFR.

c.Den Carpet 1 set @ 7750/-has been purchased which is also not authorized as per SFR.

Purchase procedure not followed - Rs 3,96,732/-

Gangtok Municipal Corporation has been adopting the practice of procuring stationeries from private firms. Normally, the GMC should adopted practice of procuring the items from SCCS/SIMFED.

While going through the paid vouchers the Audit Team observed that in the following three cases expenditure on stationeries are on higher side.

a) Payment made for Rs 13,295/- against supply of letter head and other items to the office vide cheque No.563868 dated:02/11/2013.

b)Payment made against supply of stationeries to M/S Sailesh Trading, Nam-Nang vide cheque No.552053 dated:18/04/2014 amounting to Rs 1,52,437/-.

c) In a case of printing of two thousands (2000) copies of GMC Calendar for the cost of Rs 2,31,000/- vide Cheque No.473711,dated: 03/03/2014 from Deorali Film Production, Deorali, Gangtok

WASTEFUL EXPENDITURE

The canons of financial propriety envisaged in the Sikkim Financial Rules are sacrosanct for all Government Authorities entrusted with authorizing or incurring of expenditure from public funds. They are expected under Articles 11 to exercise the same diligence and care in expending public money under their control as persons of ordinary prudence would exercise in respect of their own money.

Government has issued instructions through various orders and also incorporated in the statutes of Local Bodies the various items on which public money can be expended and the principles to be adhered to while expending on such items. Yet, it was noticed in audit that the funds of Municipal Corporation were several times incurred without adhering to the laid down principles leading to the wasteful expenditure of public money. All the cases of such wasteful expenditure observed in the audit of Municipal Corporation for the year 2012-13 and 2013-14 were expenditures that were avoidable, extraordinary and lacked proper planning.

Wasteful expenditure in photo coping of office documents-Rs 42,830/-

In spite of installation of the photo copier Machine in GMC, expenditure has been incurred amounting to Rs. 42,830/- for the photocopying of GMC office documents.

Wasteful expenditure in lamination of office documents-Rs 94,838/-

Scrutiny by Audit Team revealed that GMC has made payment to M/s Binod Rai, Deorali, vide cheque No.563596 dated:16/08/2013 amounting to Rs 94,838/- for the lamination of documents even after installation of the lamination machine in the GMC.

Wasteful expenditure in purchase and repair of dozer - Rs 20,17,376/-

GMC had purchased a second hand dozer from PWD through auction on 26/03/2013 and expenditure has been incurred for repair of the dozer within the same Financial Year, as given below.

Cost of Dozer	= Rs	1,92,000/-
Battery purchased	= Rs	32,240/-
Servicing	= Rs	1,23,045/-
Repair	= Rs	16,70,091/-
Total	= Rs	20,17,376/-

However, on enquiry, it was revealed that even after spending Rs 18,25,376/- on repairs and maintenance, the dozer could not be made fully functional. Hence, there was wasteful expenditure amounting to (Rs 18,25,376/- + Rs 1,92,000/-) Rs 20,17,376/-.

NON-PRODUCTION OF RECORDS

The Urban Local Bodies provide certain basic civic infrastructure and services like Road, Drain, Street lights, Water Supply, Conservancy and solid waste management. They also perform certain regulatory functions. They also prepare plans for economic development and social justice. To fulfill all the needs, the total revenue base needs to be enhanced every year. With the raise in demand for services, the functionaries need to have effective financial management skills and accountability practices.

All these functions would be reflected on the record when they were accounted for as per the provisions contained in Sikkim Financial Rules, 1979, which comprises the comptroller and Auditor General (C&AG) rules together with the local rulings relating to Local variation in accounts procedure. These initial accounts are to be kept ready and should be produced to Audit for verification. Then only the transparency in incurring of public money and their usefulness to the General Public can be reasonably judged.

The financial health of an institution depends up on the quality of the records that are

being maintained to show the accountability of the financial transactions that occur in the institution. The provisions under Rule 6 of Sikkim Local Fund Audit Act, 2012, are clear that the onus for production of records to audit lies with the Executive Authority of the institution.

Though several half margin letters were issued for production of the required records, the Executive Authorities did not comply with and resulted in inaccessibility of the records and raising of paras to that extent.

Non production of vouchers related to cutting tailoring training - Rs 97,800/-

While scrutinizing the file No.1(267)/GMC/2012, scheme relating to SJSRY in the financial year 2012-2013 for cutting and tailoring training, expenditure incurred total of Rs. 97,800/-, All the vouchers under SJSRY scheme during financial year 2012-2013 were not found.

NIT/ Details not produced- Rs 2,50,000/-

In a case of Quiz Competition programme named “Engage 2014” as mentioned in the file 1(757)GMC 2014, an expenditure to the tune of Rs 2,50,000/- vide Cheque No.198246, dated; 02/03/2014, has been incurred. The proposal was approved for a cost of Rs25,000/- each for ten (10) Nos. of Schools and the contract was awarded to Shri Diwakar Basnett, Chief Learning Officer. The audit team observed that there was no NIT floated before the work was awarded. There was no mention of names of Schools which were covered by the programme.

Statement 1 (1)

Consolidated Statement of Gangtok Municipal Corporation showing Receipt and Payment for the year 2012-13 (in Rs)

Sl.NO	SCHEME/ PROGRAMME	OPENING BALANCE	FUND RECEIVED DURING THE YEAR	INTEREST	TOTAL FUND	EXPENDITURE	CLOSING BALANCE
1	BRGF	27,604	3,684,000	14,916	3,726,520	3,684,000	42,520
2	SJSRY	2,984,456		103,841	3,088,297	644,121	2,444,176
3	RELIEF FUND	3,414,833	21,463,000	84,986	24,962,819	23,711,000	1,251,819
4	BSUP		1,742,116	7,255	1,749,371		1,749,371
5	DISASTER MANAGEMENT	731,200		24,510	755,710	175,000	580,710
6	REVENUE	8,152,243	36,860,020	3,088,529	48,100,792	27,118,259	20,982,533
7	ASSIGNED REVENUE		16,869,719		16,869,719	16,869,719	-
	TOTAL	15,310,336	80,618,855	3,324,037	99,253,228	72,202,099	27,051,129

Statement 1 (2)

Consolidated Statement of Gangtok Municipal Corporation showing Receipt and Payment for the year 2013-14 (in Rs)

Sl.NO	SCHEME/PROGRAMME	OPENING BALANCE	FUND RECEIVED DURING THE YEAR	INTEREST	TOTAL FUND	EXPENDITURE	CLOSING BALANCE
1.	BRGF	42,520		1,726	44,246		44,246
2.	SJSRY	2,444,176		94,151	2,538,327	368,300	2,170,027
3.	RELIEF FUND	1,251,819		7,519	1,259,338	1,251,000	8,338
4.	BSUP	1,749,371	4,859,000	185,921	6,794,292	4,105,466	2,688,826
5.	DISASTER MANAGEMENT	580,710	800,000	35,245	1,415,955	282,278	1,133,677
6.	TFC		184,205	9,536	193,741		193,741
7.	REVENUE	132,030	30,157,185	3,497,819	33,787,034	29,918,850	3,868,184
8.	ASSIGNED REVENUE		19,608,143		19,608,143	19,608,143	
	TOTAL	6200626	55608533	3831917	65641076	55534037	10107039

STATEMENT 2

Statement of Consolidated Revenue Receipts of Municipal Corporation for the year 2012-13 & 2013-14 (in Rs)

ITEM/HEAD OF ACCOUNT	2012-13	2013-14
FEES AND USER CHARGES	23047774	21705014
INTEREST AND INVESTMENT INCOME	3088529	3497819
OTHER INCOME	54957	551306
RENTAL INCOME	10472596	7232600
SALE AND HIRE CHARGES	732693	668265
TAX REVENUE	2552000	0
Grand Total	39948549	33655004

STATEMENT 3

Statement showing the Category wise Amount involved and Number of Audit Objections during the period under audit

OBJECTIONS	Data	
CATEGORY	AMOUNT (In Rs)	No
ADVANCES PENDING ADJUSTMENT	276479	3
EXCESS PAYMENTS	629089	2
NON PRODUCTION OF RECORDS	347800	2
NON REMITTANCE OF DEDUCTIONS / RECOVERIES:	7321	2
NON UTILISATION OF GRANTS WITHIN THE TIME FRAME	0	1
VARIATION IN ACCOUNT FIGURES	93118	1
VIOLATION OF RULES	3646423	6
WASTEFUL EXPENDITURE	2155044	3
Grand Total	7155274	20

GOVERNMENT OF SIKKIM
FINANCE, REVENUE & EXPENDITURE DEPARTMENT

PART - III

CONSOLIDATED AUDIT AND REVIEW REPORT ON THE ACCOUNTS OF MUNICIPAL COUNCIL & NAGAR PANCHAYATS FOR THE YEAR 2014-15

DIRECTORATE OF LOCAL FUND AUDIT
DEORALI, SIKKIM

CONTENTS

STATEMENT No.	DESCRIPTION OF STATEMENTS OF CONSOLIDATED LOCAL FUND AUDIT AND REVIEW REPORT OF MUNICIPAL COUNCIL AND NAGAR PANCHAYATS, FOR THE YEAR 2013-14	PAGE No.
III	Introductions and a few selected audit objections category wise	Part-III (1)
1	Statement of Consolidated Receipts & Payments	Part-III (27)
	1(1) Statement of Consolidated Receipts & Payments for the year 2011-12, 2012-13	Part-III (27)
	1(2) Statement of Consolidated Receipts & Payments for the year 2013-14	Part-III (27)
2	Statement of Consolidated Grant wise Receipts and Payments	Part-III (28)
	2(1) Statement of Consolidated Grant wise Receipts and Payments for the year 2011-12, 2012-13	Part-III (28)
	2(2) Statement of Consolidated Grant wise Receipts and Payments for the year 2013-14	Part-III (29)
3	Statement showing the Consolidated Revenue Receipts for the year 2012-13 & 2013-14	Part-III (29)
4	Statement showing the Number of Audit objections category wise for the period under audit	Part-III (30)

CONSOLIDATED AUDIT AND REVIEW REPORT ON THE ACCOUNTS OF MUNICIPALITIES FOR THE YEAR 2014-15

INTRODUCTION

1.1 Under the Local Fund Audit Act, 2012 the Director of Local Fund Audit, Sikkim, Deorali is made in charge of the audit of the funds of local authorities and other authorities specified in the Schedule prescribed in the said Act. By virtue of this legal position, the Director of Local Fund Audit, Sikkim, Deorali is the Auditor for the accounts of the Municipalities constituted in the State of Sikkim.

1.2 The Department conducts post audit of the Municipalities Audit Reports consisting of defects noticed in audit is issued to the Commissioners of the Municipality concerned who has to take action for rectifying the defects pointed out in the Audit Report.

1.3 Under the Local Fund Audit Act, the Director is vested with the power of disallowing every item of the expenditure incurred contrary to the law and surcharge the same on the person incurring or authorizing the incurring of such expenditure and may charge against any person responsible there for, the amount of any deficiency, loss or unprofitable out lay occasioned by the negligence or misconduct of that person or of any such sum which ought to have been accounted for but is not brought into account by that person and shall, in every such case, certify the amount due from such person.

SCOPE OF AUDIT

2.1 The Local Fund Audit Division being one of the limbs of the Government of Sikkim verifies the following aspects during the course of post audit of the Municipalities.

Whether the amounts collected like taxes, fees etc., by the Municipal Councils /Nagar Panchayats were properly accounted for with full details in the books of accounts of the Municipality concerned.

Whether adequate care has been taken in periodical checking up of the funds with Treasury or Bank.

Whether expenditure incurred is provided for in the Budget of the Municipal Council/ Nagar Panchayats and duly sanctioned by the competent authority under the relevant rules and executive instructions issued by the Government.

Whether funds are utilized only for the permitted purposes prescribed under the Sikkim Municipalities Act 2007 Act / Rules.

Whether the procedure prescribed by Government in incurring the expenditure/payments made is properly followed and accounted for with due classification in the books of accounts of the Municipality.

Whether vouchers for the expenditure incurred were maintained.

Whether grants received from different sources were properly accounted for and utilized for the purposes for which they were meant.

2.2 The Department also conducts propriety audit of the expenditure incurred.

GRANTS RECEIVED DURING THE YEAR BY THE MUNICIPAL COUNCILS/NAGAR PANCHAYATS.

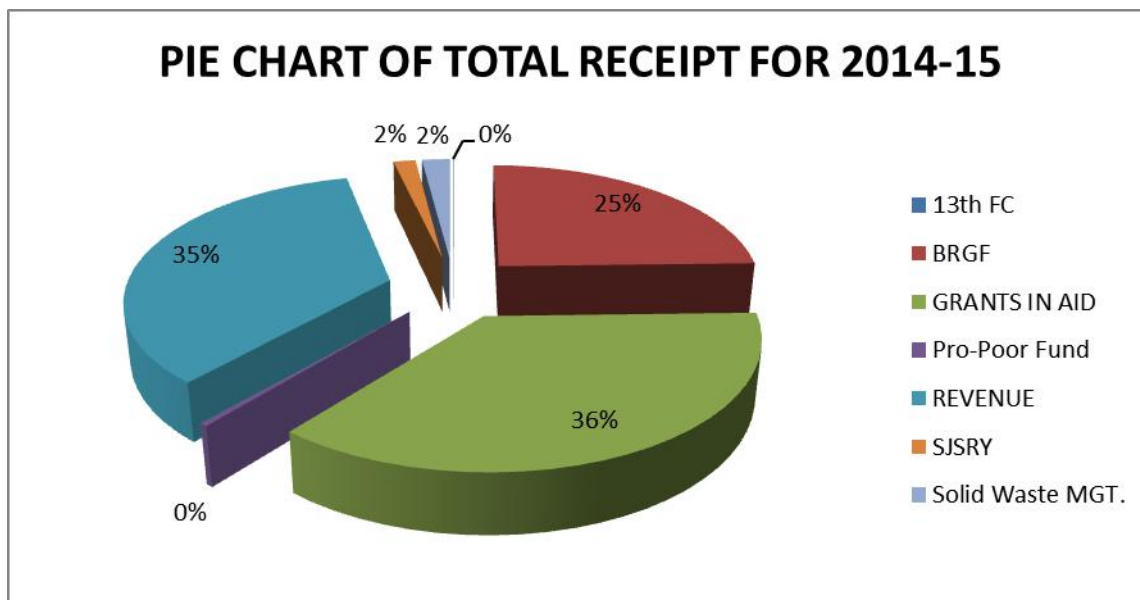
3.1 The Municipal Councils/Nagar Panchayats are provided grants by the State / Central Governments to implement the schemes entrusted to them and also for over all development of the area under their jurisdiction.

3.2 The Receipts and Payments are inclusive of the various Grants received from Central and State Governments during the year 2012-13 and 2013-14 by the Municipal Councils/Nagar Panchayats. The various Grants received by Municipal Councils/Nagar Panchayat are detailed in Statement No.3.

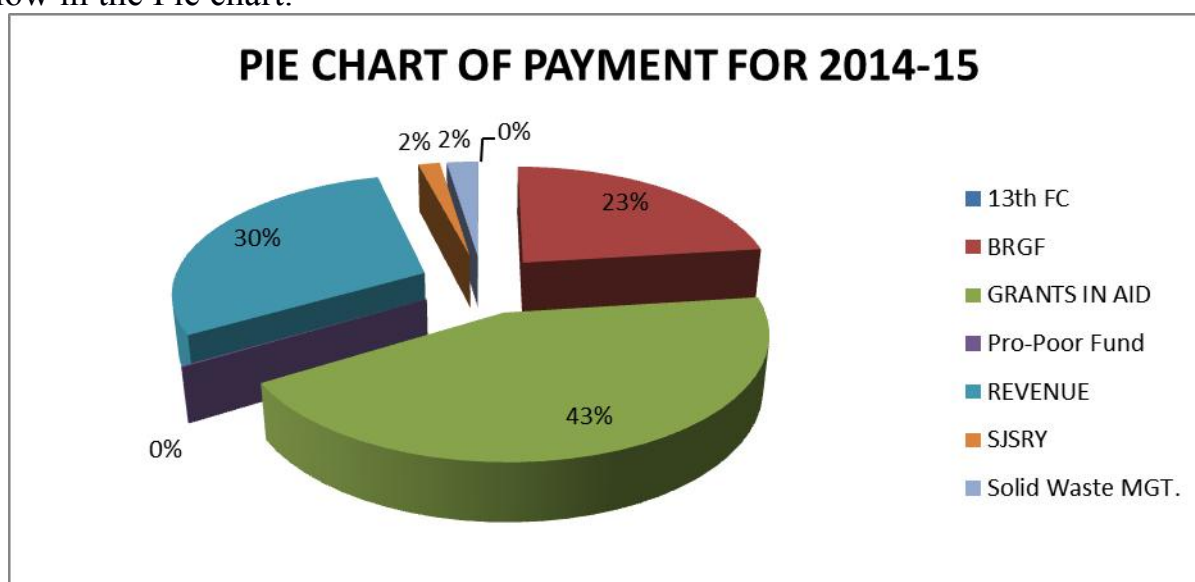
NAME OF ACCOUNT	TOTAL RECEIPT (Rs.)	%	PAYMENT (Rs.)	%
13th FC	41,904	0.05	14267.42	0.02
BRGF	2,16,03,236	24.54	14690732	22.98
GRANTS IN AID	3,20,29,278	36.38	27736782.13	43.39
Pro-Poor Fund	365184	0.41	87680	0.14
REVENUE	3,08,06,744	34.99	18807450	29.42
SJSRY	1399632.29	1.59	1054500	1.65
Solid Waste MGT.	1791798	2.04	1526113	2.39
Grand Total	88037777	100	63917524.55	100

The Fund Wise Receipts of Municipal Councils for the year 2012-13 and 2013-14 are exhibited below in the Pie chart.

PIE CHART OF MCs RECEIPTS FOR 2014-15



The Fund Wise Payments of Municipal Councils for the year 2014-15 are exhibited below in the Pie chart.



STATUS OF AUDIT

4.1 Audit of Municipal Councils/Nagar Panchayats up to the year 2013-14 was conducted in the year as mentioned below.

SL NO	NAME OF ULB	AUDITED YEARS	NO OF CURRENT AUDIT	CURRENT ARREARS	PREVIOUS AUDIT	TOTAL
1.	Mangan Nagar Panchayat	2011-12, 2012-13 & 2013-14	3	1	0	4
2.	Rangpo Nagar Panchayat	2011-12, 2012-13 & 2013-14	3	1	0	4
3.	Singtam Nagar Panchayat	2011-12, 2012-13 & 2013-14	3	1	0	4
4.	Gyalsing Nagar Panchayat	2013-14	1	1	2	4
5.	Jorethang Nagar Panchayat	2013-14	1	1	2	4
6.	Namchi Municipal Council	2013-14	1	1	2	4
	TOTAL		12	6	6	24

AUDIT OBJECTIONS

5.1 During the course of audit of these Municipalities for the year 2011-12, 2012-13 and 2013-14 various defects noticed were already pointed out in the relevant Audit Reports which were forwarded to the Municipal Commissioner and President Nagar Panchayats concerned for further action at their end as per the procedure laid down under the Sikkim Local Fund Audit Act.

5.2 A Consolidated Statement showing the number of objections raised, amount involved with category wise break-up is annexed vide Statement No.4.

5.4 CATEGORISATION OF AUDIT OBJECTIONS

The various audit objections are classified into 19 categories as detailed below.

1. Variation in account figures
2. Excess payments

3. Non-remittance of deductions / recoveries from vouchers / pay bills /contingent bills
4. Wasteful expenditure
5. Violation of rules
6. Relinquishment of revenue
7. Non-production of records
8. Mis-appropriations
9. Advances pending adjustment
10. Non-collection of dues
11. Pendency of utilization certificates
12. Non-utilisation of grants before lapsable date
13. Diversion of grants/funds
14. Others

5.12 Consolidated Statements showing the various Audit Objections raised in the Audit Reports with amounts involved category-wise are annexed to the Report [Statements form 4].

5.13 Gist of some of the selected audit objections pertaining to the year under report is enumerated below:

AUDIT PARAS

Gist of some of the selected audit objections raised during the year 2011-12, 2012-13 and 2013-14 under report is enumerated below:

VARIATION IN ACCOUNT FIGURES

It was found that Balances shown by Cash Book and Pass Book do not tally due to non-reconciliation of accounts by preparing Bank Reconciliation Statement as required under relevant rules. The preparation of Bank Reconciliation Statement is mandatory under Sikkim Panchayat Financial Rules.

NMC- Variation in account figures in Grants-in-aid -Rs 10,41,500/-

On scrutiny of Cash book related to Grants-in-aid bearing account no. 910020038551451 the closing balance of previously audited accounts(2012-13) does not tally with the opening balance of present audit period (2013-14). There is difference of Rs 6,000/(Rs 1015107- Rs 1009107).

Again, While auditing the Grants-in-Aid File, it is noted that, the 4th quarter Grants-in-Aid for the financial year 2013-14 which was transferred from Urban Development & Housing Department vide Cheque no. 736847/7-3-2014 amounting to Rs 10,35,500/- has not been entered in the Cash book which renders the Cash Book of no use..

EXCESS PAYMENTS

It was observed that in several cases, excess payments were made due to either.

- Incorrect calculations or
- Arithmetic error
- Admission of inadmissible claims or
- Lack of knowledge of Government instructions.

SNP - Payment above Ceiling Limit for Vehicle Repair Works.

As per SFR, under Schedule I para 1 in Appendix 3A it is stated that ceiling limit upto first year for truck is Rs 28,000/-, however on scrutiny of files and records related to trucks, it was found that expenditure incurred has exceeded the ceiling limit on maintenance and repair within the first year.

On scrutiny of vouchers, it was found that the details such as vehicle number, voucher no/date and receipt for the repair works were not mentioned in most of the cases.

Moreover, work order was not found for these repair works in respect of most of the

vehicles.

JNP-Irregular payment of remuneration to Ms Manika Pradhan:

While going through the personal file of Ms Manika Pradhan it is found that she was appointed as Junior Engineer on consolidated pay of Rs 10,000/-per month vide office order No 7/JNP Dt 02/12/2013 for 89 days. But it is found that she has been working and drawing her pay even after the expiry of her tenure for 89 days without extension which gross violation of Service Rules.

RNP-Increase in estimated cost of work - Rs 15,86,000/-

On scrutiny of file related to BRGF Scheme for 2012-13, audit has found that there has been huge increase in estimate of works and the additional expenditure has been paid from revenue account by obtaining approval and sanction through resolution. As per the letter “Release of fund for works sanctioned under BRGF 2012-13” vide memo no 261/EDZP/2012-13 dated 9.7.13, the actual proposal was passed and approved by District Planning Committee for ULBs and RMDD had released 71% i.e. 29% deficit from the actual allocation, but there was huge increase in estimate of works to the tune of 80.41% and 61.57% above the actual allocation, detailed as follows:-

(Rs. in lakhs)

Sl No	Name of Work	Fund received (29% deficit i.e. 71%)	Estimated cost	Revised Estimate	Percentage increase in estimate from actual
1	Construction of drainage and carpeting works at Dev. Area, Chanatar	6.39	9	16.24	80.44%
2	Construction of public toilet near playground, Rangpo	9.94	14	22.62	61.57%
	TOTAL	16.33	23	38.86	71.79%

The audit observed that the revised estimate is exorbitantly high considering the size, quality and facilities provided in the toilet. The reason for escalating the cost to the extent of 71.79% was not furnished to the audit.

SNP- Excess payment-Rs 2,83,079/-

On scrutiny of file and MB of work “Construction of Rest-cum-Tea shed for crematorium below Lall Bazaar, Singtam” by Men’s Labor Cooperative society, it was revealed that Security Deposit was released without obtaining approval/Clearance

Certificate from Divisional Engineer. Also, the Certificate of labour clearance under Sikkim Labour Protection Act 2005 was not found in the concerned file. Moreover, on perusal of nsp 13 of the same file, it was revealed that the contractor had done additional work amounting to Rs 2,83,079/- on the basis of verbal order of President, SNP which is highly objectionable.

NON-REMITTANCE OF DEDUCTIONS / RECOVERIES FROM VOUCHERS / PAY BILLS /CONTINGENT BILLS

It was noticed during the audit that various deductions / recoveries of VAT, Cess printing commission affected from the work bills / pay bills were not remitted into the Government account or only a part of them were remitted in spite of statutory obligation to remit the same to Government account within a prescribed time under the relevant statutory provisions which also include penalty as well as prosecution for non adherence.

As per Notification No 103/IT and CT/11(36)/2005 dated 28.3.2005, VAT @ 12.5% and Cess @ 1% must be deducted at source from the supplier.

As per circular no 110/Ptg&Sty/2011 dated 3.11.2004, all printing works will be executed by Printing and Stationery Department. However in case, if Government Press is unable to undertake the printing works due to unavoidable reasons, the printing works is awarded to private press duly adhering to relevant rules. It was found that no deduction of 3 % printing commission was deducted from the private press and remitted to the Govt. account.

SNP-Non deductions of VAT/Cess - Rs 76,445/- (VAT amounting to Rs 52581/- and Cess of Rs 23864/-)

On scrutiny of various files and vouchers, it is found that during the financial year 2013-14, the Singtam Nagar Panchayat executed the under mentioned works.

SL NO	NAME OF WORK	CONTRACTOR	COMMENT CEMENT	COMPLETION	ESTIMATE AMOUNT	VAT	CESS
1	Restoration/repair of CCM wall at Daragaon, Singtam	Departmental	1.10.12	31.10.12	86,800	2,862	485
2	Reconstruction of waist slab footpath at Pipal Dara, Singtam	Men's Labor Cooperative society	5.8.12	5.10.12	308,700	5,923	1,481
3	Construction of Rest cum Tea shed for crematorium below Lall Bazaar, Singtam	Men's Labor Cooperative society	30.12.12	20.8.13	2,195,000	43,796	21,898
TOTAL					2,590,500	52,581	23,864

Scrutiny of files and MB of civil works executed 2012-13 revealed following discrepancies:-

It was found that deductions of VAT amounting to Rs 52581/- and Cess of Rs 23864/- were not deposited to Commercial Tax Division. Also Technical Sanction was not obtained for all of the above works.

SNP-Non deduction of printing commission charges of 3% - Rs 3,859/-.

On security of vouchers, it was found that SNP made payments to different private parties for Rs 1,28,629/- for printing works without levying 3% commission charges which amounts to Rs 3,859/-, details are as follows:-

Sl No	Particulars	Cheque No/Vr No	Date	Amount
1	Boney Binding Works, Gangtok		16.2.12	13790
2	Digital Infotech, Singtam		14.8.13	1500
3	Digital Infotech, Singtam		20.9.13	2200
4	Graphix, Siliguri	429162	22.7.13	20150
5	Graphix, Siliguri		12.7.13	20100
6	Graphix, Siliguri		20.4.12	2035
7	Naya Hachal Prakashan, Singtam		10.4.13	5184
8	Naya Hachal Prakashan, Singtam		16.4.12	32640
9	Naya Hachal Prakashan, Singtam		17.8.12	29730
10	Naya Hachal Prakashan, Singtam		6.2.12	1300
			Total	128629

SNP-Non-Deduction of 3% Establishment Charges in cases of refund of Rs 9,817/-.

As per rule 107 of SFR, in case of refunds vide Notification No.446/Fin.Dated:31st July,1992, Government of Sikkim instruction, a deduction of 3% above Rs.2,000 will be charged as establishment charges. Deduction of 3% Establishment Charges for Rs.9,817/- was not deducted from refund.

Sl No	Particulars	Chq No/Date	Amount
1	Refund Of Car parking Contract To Tinku Adhikari	8044175/9.12.13	60000
2	Refund Of Sewerage Clearing Charge To Hemant Tamang	004169/13.11.13	3000
3	Refund Of Sewerage Clearing Charge To Pema Tamang	004166/1.10.13	3000
4	Refund Of Car parking Contract To Jigme Bhutia		261239
		Total	327239

RNP-Non deduction of VAT and Cess-Rs 59,591/-

On scrutiny of files and vouchers, it was found that Executive Authority has not deducted VAT and cess at source for purchase of various items from different suppliers on different occasions from 2011-12 to 2013-14, detailed as follows:-

SL NO	PARTICULARS		CHEQUE NO/VR NO	DATE	AMOUNT	VAT	CESS	CST
1	Purchase of computers from	Anitish Computers, Gangtok		26/8/11	68708	2617	654	
2	Purchase of computers from	Anitish Computers, Gangtok	HPW/0108/11-12	9/9/11	56274	2106	526	
3	Purchase of stationery from	M/S Ketaram Muralidhar, Rangpo	089240	11/10/11	19297	1220	179	
4	payment for website development	M/S AISECT, Namchi	096119	19/10/11	40000	NA	NA	
5	Payment for printing of files	M/S Boney Binding, Gangtok	102401	30.11.11	48589	1851	463	
6	Payment for printing of files	M/S Oswal Corporation, Gangtok	089239	30.11.11	22871	2519	202	
7	Purchase of stationery from	M/S Ketaram Muralidhar, Rangpo	131225	10/3/13	6224	236	59	
8	Purchase of computers from	M/S Computer Shoppe, Siliguri (WB)	131208	16.9.13	45308			2158
9	Purchase of Sanitation items from	M/S Manoj Prasad, Rangpo	131214	26/9/13	119530	8390	NA	
10	Purchase of Sanitation items from	M/S Manoj Prasad, Rangpo	123301	26/2/14	616478	36928	NA	
11	Repair and maintenance payment to	M/S Jaganath Prasad Rameswar Prasad, Rangpo	718	31/3/14	34433	1313	328	
TOTAL					1077712	57180	2411	2158

It was also found that VAT/cess has not been shown or calculated in the vouchers in the cases as highlighted above as “NA”. Hence, VAT deduction of Rs 57,180/- and cess deduction of Rs 2,411/- has not been deducted at source and credited to Govt. account.

RNP- Non deduction of printing commission charges of 3%-Rs 2,252/-.

On security of vouchers, it was found that RNP release amount of Rs 75,060/- to different private parties for printing works without levying 3% commission charges amounting to Rs 2252/-, details are as follows:-

SL NO	PARTICULARS	CHEQUE NO/VR NO	DATE	AMOUNT
1	M/S Boney Binding, Gangtok	102401	30.11.11	48589
2	M/S Oswal Corporation, Gangtok	089239	30.11.11	22871
3	M/S Boney Binding, Gangtok	102342	25.2.11	3600
			TOTAL	75060

SNP-Non deduction of VAT/Cess-Rs.54,804/-

On scrutiny of files and vouchers, it was found that SNP has not deducted VAT and cess at source for purchase of various items from different suppliers on different occasions from 2011-12 to 2013-14, detailed as follows:-

SL NO	PARTICULARS	CHEQUE NO/DATE	AMOUNT	VAT	CESS
1	Paid to M/S Babulall Agarwal, Singtam	13.9.11	2,196	242	19
2	Paid to M/S Babulall Agarwal, Singtam	13.9.11	1,362	150	12
3	Paid to M/S Babulall Agarwal, Singtam	13.9.11	1,216	134	11
4	Paid to M/S Triveni Enterprises, Singtam	24.7.12	2,460	NA	NA
5	Paid to M/S Babulall Agarwal, Singtam	19.7.12	480	NA	NA

SL NO	PARTICULARS	CHEQUE NO/DATE	AMOUNT	VAT	CESS
6	Paid to M/S Mobile Centre, Singtam	1.12.12	5,800	NA	NA
7	Paid to M/S AISECT,Namchi	10.9.12	10,000	NA	NA
8	New Panorama color Lab, Singtam	30.3.12	497	33	5
9	New Panorama color Lab, Singtam	30.3.12	405	21	4
10	Paid to M/S Babulall Agarwal, Singtam		1,033	114	9
11	Paid to M/S Ganesh Steel Udyog, Singtam		14,500	NA	NA
12	Paid to M/S Sachin Agro, Singtam		16,500	NA	NA
13	Paid to M/S Biswa Grill House, Singtam		11,500	NA	NA
14	Paid to M/S SK Agarwal, Singtam		16,690	NA	NA
15	Paid to M/S S Centre System, Singtam		4,200	NA	NA
16	New Panorama color Lab, Singtam		10,500	NA	NA
17	Paid to M/S Ganesh Steel Udyog, Singtam	5.3.13	5,000	NA	NA
18	Paid to M/S Triveni Enterprises, Singtam		11,340	NA	NA
19	Paid to M/S Rajkumar Agarwal, Singtam	9.10.13	38,284	4,216	337
20	Paid to M/S Triveni Enterprises, Singtam	28.8.13	30,000	NA	NA
21	Paid to M/S Ganesh furniture, Singtam	10.3.14	16,500	NA	NA
22	Paid to M/S AISECT,Namchi	10.3.14	15,000	NA	NA
23	Paid to M/S Sunil Psd, Singtam	27.1.14	14,700	NA	NA
24	Paid to M/S Triveni Enterprises, Singtam	10.1.14	15,127	NA	NA
25	Paid to M/S Triveni Enterprises, Singtam	23.12.13	2,400	NA	NA
26	Paid to M/S Mobile Centre, Singtam	24.11.13	1,400	NA	NA
27	Paid to M/S Kedarnath Agarwal, Singtam	2.12.13	17,600	NA	NA
28	Paid to M/S Patho Enterprisis, Singtam	7.9.13	1,749	194	
29	Paid to M/S Nim Dao, Bageykhola	27.11.13	17,124	1,478	117
30	Paid to M/S Bijoy Motor garage, Singtam	1.12.13	12,000	NA	NA
31	Paid to M/S Babulall Agarwal, Singtam	8.10.12	3,656	NA	NA
32	Paid to M/S Biswa Grill House, Singtam	7.10.13	5,000	NA	NA
33	Paid to M/S Ganesh Steel Udyog, Singtam	10.10.13	37,800	NA	NA
34	Paid to M/S SK Agarwal, Singtam	1.10.13	3,000	NA	NA
35	Paid to M/S Kumar Kedarnath, Singtam	15.7.13	1,552	NA	NA

SL NO	PARTICULARS	CHEQUE NO/DATE	AMOUNT	VAT	CESS
36	Paid to M/S Biswa Grill House, Singtam	13.9.13	4,150	NA	NA
37	Paid to M/S Triveni Enterprises, Singtam	16.7.13	5,050	NA	NA
38	Paid to M/S AISECT, Namchi	20.5.13	40,000	NA	NA
39	Paid to M/S Triveni Enterprises, Singtam	25.4.13	5,673	NA	NA
40	Paid to M/S Microtech, Singtam	1.5.13	2,512	NA	NA
41	Paid to M/S Oswal Corporation, Gangtok	16.8.11	23,136	2,892	231
42	Paid to M/S Oswal Corporation, Gangtok	9/11/2012	3,232	404	101
43	Paid to M/S Oswal Corporation, Gangtok	22.9.11	61,224	7,653	612
		TOTAL	493,548	17,531	1,458

It was also found that VAT/cess has not been shown or calculated in the vouchers in the above cases as highlighted “NA”. Hence, VAT of Rs 17531/- and cess of Rs 1458/- have not been deducted at source. Estimated VAT for all the above cases @ 12.5% and cess @1% gives the total loss of revenue to Rs 54,804/-.

RNP- Non Deduction of VAT/cess - Rs 97,327/-.

On scrutiny of file 24/RNPO/2011 “ Purchase of Tata/ Truck Vehicle no 1942”, audit found that vehicle was purchased under the BRGF scheme for Rs 8,18,265/-, payment/invoice details are as follows:-

Unit price	7,20,938.29
Local Tax (VAT)	90,117.29
Cess (Env. Cess)	7,209.38
Total	8,18,265

However, it was found that two cheques were drawn on ac M/S Nim Dao Motors Ltd, as advance and full/final payment on the same date ie 10/11/2011 bearing cheque nos 89228 and 89229 amounting to Rs 50,000/- and Rs 7,68,265/-, respectively. Hence, gross amount of Rs 8, 18,265/- was paid to the party without deduction of VAT and Environment Cess by RNP.

The Executive Authority could not furnish any document to prove that VAT/CESS amount has been credited to Govt. account by the party. The payment of VAT/Cess to the selling party is highly irregular.

MNP- Forest Royalty not paid - Rs 8,705/-

On scrutiny of the records, vouchers and file no 5/47/MNP/2013 it was found that MNP has awarded supply work for beautification of park, Mangan, under BRGF scheme to M/S Srinath Prasad but the forest royalty of Rs 8705/- was not remitted to the Forest Dept.

WASTEFUL EXPENDITURE

The canons of financial propriety envisaged in the Sikkim Financial Rules are sacrosanct for all Government Authorities entrusted with authorizing or incurring of expenditure from public funds. They are expected under Articles 11 to exercise the same diligence and care in expending public money under their control as persons of ordinary prudence would exercise in respect of their own money.

Government have issued instructions through various orders and also incorporated in the statutes of Local Bodies the various items on which public money can be expended and the principles to be adhered to while expending on such items. Yet, it was noticed in audit that the funds were several times incurred without adhering to the laid down principles leading to the wasteful expenditure of public money.

RNP-Unfruitful expenditure - Rs 22,62,000/-

RNP had constructed Public toilet in 2014 near Rangpo Playground at the cost of Rs.22,62,000/- under BRGF grant. However, during the site visit of the said toilet, it was found that the public toilet was damaged and was in a dilapidated condition within the first year of its completion.

SNP-Avoidable Expenditure amounting to Rs 1,12,298/-

On scrutiny of voucher and record, audit found that Executive Authority has made various payments which were avoidable in nature. For instance, Executive Authority has incurred expenses for photo-copying of documents for Rs.2,298/- and incurred hire charges of truck for Rs.1,10,000/- respectively when there were Xerox machine and two trucks at their disposal.

On scrutiny of files, it was found that approval for hiring private vehicle for 10 days was obtained but approval for hiring private truck for 34 days was not obtained which is irregular.

SNP- Hiring of truck for Cleaning of various drain and jhoras at all wards- Rs 53,000/-

During the FY 2013-14, SNP executed cleaning work of various drains and jhoras at Daragaon, Pipaldara, Mandir Line, Lall Bazaar and Chisopani wards at an estimated cost of Rs 496600/- for prevention of dengue in Singtam bazaar and its adjoining areas. On Scrutiny of paid vouchers and files, it was found that expenditure of Rs 53000/- was incurred on hiring of truck on ac throwing spoils/garbage from Singtam upto Dumping Yard. However, the SNP already had two vehicles for the same purpose. Further, it was found that payment of Rs 433600/- was made for M/R wages which is not supported by labour clearance certificate and payees' signature is not obtained in M/R bill.

JNP- Additional vehicle hired - Rs 1,40,500/-

On scrutiny of vouchers, the audit team, observed that an additional vehicle (Truck) was hired during the financial year 2013-14, despite the fact that the office has been using two No of its own vehicle for the disposal of garbage. There was an expenditure of Rs 1,40,500/- due to hiring of the additional vehicle.

VIOLATION OF RULES

It was noticed in the audit that in some cases the Rules / Government instructions for incurring the expenditure from the funds were violated either due to negligence or ignorance. In certain cases, the funds were utilized for the purposes other than the permitted ones under the Act / Rules. It was also noticed that in a few cases, Government instructions were misunderstood or misinterpreted.

Delay in release of fund

Scrutiny of records of Local Bodies audit team noticed that the funds so released by the Nodal, Line Departments was not time bound. Non availability of required funds in time hampers in implementation of Plans/Schemes in Local Bodies. The practices of releasing of funds at the end of Financial Year were also noticed during the course of audit.

Suggestion: Nodal, Line Departments need to look into the matter seriously and may transfer the funds in a suitable time so that Local Bodies can utilized the funds fully within a same Financial Year towards the development and maximum benefit of the general public.

Non maintenance of advance register

Scrutiny of records of Local Bodies revealed that although the Local Bodies released advance payment for various purposes, but the entries in the relevant advance register was not made. Non maintenance of advance register was fraught with risk of non submission of adjustment bill with in stipulated time.

Payees' signature not obtained

As per Rule 37[2] of Sikkim Financial Rules, 1979, every vouchers must bear, or name attached to it an acknowledgement of the payment signed by the person by whom, or on whose behalf the claim is put forward. The acknowledgement should be taken at the time of payment.

However, scrutiny of records of Local Bodies in most of the cases, the acknowledgement/ payees' signature was not obtained at the time of released of payment.

Rush of Expenditure

Financial discipline requires that the expenditure be evenly phased over the Financial Year. It was noticed that 40 to 50 percent of the total expenditure was incurred during the month of March. Rush of expenditure at the close of the Financial Year arise the risk of fraught, unnecessary pressure on the working staff to maintain proper records and reflect the ill-planned execution.

Non maintenance of "Register of Works"

Under section 8.7 and 8.8 of Sikkim Public Works Department Manual, 2009, envisaged when any payment is made from the works, the records of expenditure incurred during a year should be posted in the "Register of Works".

However, scrutiny of records of Local Bodies pertaining to civil works, audit noticed that although the payment was made however the records of expenditure incurred was not posted in the Register of Works.

Vouchers in support of payment not created

A Government servant entrusted with the payment of money shall obtain for every payment he makes, a voucher setting forth full and clear particulars of the claim and all information necessary for its proper classification and identification in the accounts.

However, on scrutiny of records of Local Bodies audit noticed that in some cases although the payment was released but vouchers in support of payment was not created.

Non Devolution of Power

The Twelfth Scheduled to the Constitution of India under Article 243 W identifies 18 (Eighteen) subjects to be entrusted to the Urban Local Bodies to enable them to function as institution of self- government. However, it was noticed during the course of audit that out of the eighteen subjects only few subjects are being executed by the ULBs.

Non maintenance of history sheet

Sikkim Financial Rules, 1979, envisaged, the records of expenditure incurred on repair, replacement, furnishing and maintenance of Government Vehicles as per the Schedule I of Appendix 3A should be noted in appropriate column of history sheet.

Although the [7]ULBs possessed vehicles for carrying garbage to dumping yards and for local duty, however, the records of expenditure incurred for the purposes as stated above was not made in the history sheet. Non maintenance of records in History Sheet arise the risk of incurring expenditure above the prescribed ceiling limit.

SNP-Loss of interest on funds kept in current account.

The Singtam Nagar Panchayat did not keep grants and revenues in interest bearing accounts but in current account leading to huge loss of interest. Except for GIA account in Canara Bank, all other accounts opened by SNP are current accounts.

SNP- Self-procurement without approval from concerned Engineering Cell.

As per para 20.7 and 20.8 of Sikkim PWD Manual 2009, approval of procurement in case of self-procurement is exercised as per Table I of that manual. However, on scrutiny of various files and vouchers relating to civil work, in all cases of work conducted either departmentally or by contractor, approval was not sought by the SNP or by the contractors.

SNP-Loose bill entertained and cash payment was made - Rs 54,826/-

On scrutiny of record made available to the audit, it was found that Executive Authority has the practice of making purchases on cash and payments on the basis of improper cash memos which do not bear TIN No./CST No. which is unhealthy

practice. Details of which are as follows:

Sl No	Particulars	Ch No /Date	Amount	Remarks
1	Paid To Mangal Chand Sivanarayan For Purchase Of Raincoats	920865/11.6.13	17,800	Applicable Tax Not Deducted
2	Paid Via Cash Through Office Helper For Generator, Earthing, Electricity Connection, Etc.	920867/1.7.13	26,046	Applicable Tax Not Deducted & Paid By Cash
3	Paid To Bijay Motor Garage For Repair And Maintenance Of Garbage Truck	429164/12.8.13	10,980	Applicable Tax Not Deducted
		Total	54,826	

Reasons for making payments on loose bills were not furnished to audit.

SNP-Purchase without advertisement/quotation - Rs.10,77,712/-.

As per rule 127 of Sikkim Financial Rule and Notification No 03/Fin/Actts dated 28.9.2004, the system of open competitive tender must be adopted when stores are purchased from open market directly. In case of purchases costing more than Rs 1,00,000/-, it should be made either through STCS or open tenders, giving wide publicity/advertisements in leading newspapers at least a month before the last date of submission of tender. For purchases costing not more than Rs 1, 00,000/-, whether made direct by department or through STCS, sealed tender/quotation through advertisement in local papers should be invited.

On scrutiny of records, it was revealed that SNP had purchased various store items amounting to Rs 10,77,712/- without inviting quotation in violation SFR.

JNP-Execution of Works without proper estimate- Rs 3,00,723/-

On scrutiny of Bank statement, it was found that, during the financial year 2013-14 Rs 3,00,723/- was debited to Bank Account under BRGF Scheme. On enquiry, it is stated that the Jorethang Nagar Panchayat executed the under mentioned works departmentally, but no any records (like file, voucher, measurement book etc) relating to payments are produced to the audit party. It was found that the payments were made without preparing vouchers and passing of bills which is totally against the financial norms.

Construction of Wall at Ward No 2 for Rs 1,60,394/-

Construction of drain at Ward No. 2 for Rs 1,40,329/-

The above works were executed without proper estimate. Neither, the resolution was passed by the house nor approval/sanction was obtained. The works were carried out without following any norms.

MNP- Lapses in purchase procedure

On scrutiny of the records, vouchers and file no 5/47/MNP/2013, it was found that Executive Authority has awarded supply order for beautification of park Mangan under BRGF scheme to M/S Srinath Prasad vide supply order no Nil dt 26.3.13 for the supply of cement, sand, stone, ms flat patti, etc, In this regard, Executive Authority neither has followed tender process nor has called for sealed quotation for supply of materials. The Assistant Engineer (UDHD) has issued work completion report in which no date of commencement, date of completion, and date of issue of completion report is found. Hence, payment of Rs 363855/- to supplier M/s Srinath Prasad stands irregular. Also audit could not find sanction obtained from the competent authority. The Executive Authority did not furnish reasons for the lapses to audit.

SNP-Without Work order Vehicle repair being done - Rs 5,85,196/-.

As per para 5 of Appendix-3A "MAINTENANCE AND REPAIRS OF GOVERNMENT VEHICLES" which provides that procedure for repair of Government vehicles shall be as follows:-

- (a) There is a complete ban on getting vehicles repaired through private garages, other than those authorized by the Government.
- (b) Vehicles requiring repairs shall first be examined by the Transport Department, Sikkim National Transport Division who shall be the sole authority to examine the vehicles certify the extent of repairs that are necessary.
- (c) The repairs are to be done through authorized garages in Sikkim who are selected by the chief Engineer, Transport Department, Sikkim Nationalised Transport Division on the basis of their technical competence to undertaken repairs .Work order shall be issued on the basis of competitive tenders/quotations for all types of repair works from the authorized garages.
- (d) No bill other than what is specified under para 2(a) will be paid unless it is certified by the Engineer concerned, Transport Department, Sikkim Nationalised Transport Division.
- (e) The purchases of spare parts shall be made from manufacturers, authorized dealers/agencies on the basis of competitive rates duly verified by Chief Engineer,

Transport Department, SNT Cell.

On scrutiny of the file “109/SNP(01-2013) BRGF 2011-12, it was revealed that work order was not issued by Executive Authority for these modification/repair works of cesspool truck bearing no SK01D/2750. No quotations were invited for the job as required.

SNP-Non-compliance of procedure for repair of Government vehicles-Rs 5,81,721/-.

On scrutiny of file bearing no 146/SNP/092-2013, it was revealed that the Executive Authority has made payment of Rs 2,36,250/- to M/S Kalika Automobiles, Siliguri for remodeling of Vehicle SK01/D2750 (cesspool truck) which was not inspected and authorised by the SNT Department. Similarly, from the perusal of file no. 135 /SNP 2013, it reveals that the expenditure for repair and maintenance of vehicles was incurred in number of times from local garage without following government procedures. Similarly, it was found that Executive Authority had incurred expenditure amounting to Rs 3,45,471/- on repairs without adhering to any norms. No paid relevant vouchers were produced to the audit.

SNP -Cash payment for Purchase of cesspool vehicle from BRGF .

With reference to letter no 209/EDZP dt 31.7.12 fund was released by EDZP to SNP for 2011-12 for procurement of two vehicles (one tipper and one pick up) and sanitary items, however, on scrutiny of relevant files and records, audit found that SNP passed a resolution to purchase only one new EICHER brand truck amounting to Rs 940460/- from Allied Automotive Industries, Rangpo and incurred expenditure on remodeling of cesspool for Rs.623000/-.

Moreover, it was revealed that the payment was made in cash by withdrawing money in the name of SNP employees which amounts to gross violation of financial norms, detailed as follows:-

Sl No	Particulars	Ch No / Date	Amount	Withdrawn By
1	Advance For Cesspool Vehicle	001051/7.12.12	100,000	SNP
2	2nd Advance	001052/27.12.12	200,000	Rajendra Rai, HA
3	Vehicle Cost	001053/4.2.13	940,460	Allied Auto Wheels, Siliguri
4	Part Payment	001055/18.4.13	173,800	SNP
5	Part Payment	001056/11.6.13	20,000	Prabha Pradhan, Office Helper

Sl No	Particulars	Ch No / Date	Amount	Withdrawn By
6	Final Payment	001059/1.7.13	100,000	Kiran Bardewa, Peon
7	Additional Work	001061/24.7.13	30,000	Prabha Pradhan, Office Helper
		Total	15,64,260	

As per standing norms, all payments should be made directly to the concerned party by cheque.

JNP-Irregular payments on Garbage Vehicle - Rs 75,580/-

On scrutiny of paid vouchers, it was revealed that the Jorethang Nagar Panchayat is in possession of two Vehicles i.e SK04D0307(Truck) and SK04D0315(Utility) and is being used for collection and disposal of garbage, whereas the records like vehicle maintenance files with history sheet registers are not being maintained. A Rs 75,580/- has been incurred for maintenance of vehicle but no any records regarding approval for repair of vehicle and technical report from SNT Division of Transport Department is found in the concerned file.

SNP- Cash payment for Purchase of Sanitary items from BRGF .

With reference to letter no 209/EDZP dt 31.7.12 fund was released by EDZP to SNP for 2011-12 for procurement of two vehicles (one tipper and one pick up) and sanitary items. However, it was revealed that the payment of Rs 408720/- was made for purchase and printing of sanitary items including 30 dustbins. The fund for the same was withdrawn in the name of SNP employees and paid in cash to the supplier, detailed as follows:-

Sl No	Particulars	Ch No / Date	Amount	Withdrawn By
1	Purchase Of Wheel Barrow And Dustbin	001058/14.6.13	130,000	Prabha Pradhan, Office Helper
2	-Do- With Printing	001060/8.7.13	48,720	Prabha Pradhan, Office Helper
3	Purchase Of Sanitary Items	001062/24.7.13	100,000	Prabha Pradhan, Office Helper
4	Purchase Of Sanitary Items	001063/31.10.13	130,000	Rajendra Rai, HA
		Total	408,720	

No quotations were invited, no vouchers/cash memos were produced to audit. All

payments were made on cash by withdrawing money in the names of various employees. Such practices amount to gross violation of financial norms and provide ample chances of misappropriation which should be stopped forthwith.

RNP-Release of Security Deposits - Rs 77,804/-

As per the clause 1 - “Recovery of security deposits” in General directions and conditions of contract of Rangpo Nagar Panchayat, it is mentioned that in case of carpeting works, the SD shall be refunded after five years from the date of completion, and the Government of Sikkim shall not pay any interest on security deposits. However, on scrutiny of files and MB of civil work “Construction of drainage and carpeting works at Dev. Area, Chanatar”, audit found that the security deposit amounting to Rest 77804/- was released on 20/03/15 to M/S Mixed Labor Cooperative Society Ltd vide cheque no 118092 dt. 20.03.15, whereas date of completion of work is mentioned as 07.5.13. Hence, SD was released within 1 year 10 months of completion of work which is 3 years 2 months earlier than the stipulated period in the terms conditions of the said contract.

SNP-Bazaar and Car Parking Contract Loss Rs 9,98,292/- (SD Released Rs 6,77,053/- +Refunded Rs 3,21,239/-)

During the period under audit of FY 2011-12 to 2013-14, bazaar/car parking contract was awarded to highest bidder by the SNP. Details of which are as below:

Sl No	Fy	Name Of Contract	Contractor	Contract Amount	Security Deposit	Refund
1	2011-12	Car Parking	Jigme Tenzing Bhutia	870,798		261,239
2	2011-12	Bazaar	Dewan Pradhan	592,000	177,559	
3	2012-13	Car Parking	Durga Subba	484,300	145,276	
4	2012-13	Bazaar	Arun Pradhan	631,501	186,438	
5	2013-14	Car Parking	Tinku Adhikari	508,765	15,240	60,000
6	2013-14	Bazaar	Dewan Pradhan	1,851,001	152,540	
			Total	4,938,365	677,053	321,239

However, the audit team found following irregularities:

As per the contract agreement vide clause 3, it is clearly mentioned that the successful bidder have to pay the full contract amount at the time of signing the contract, and also no installment payment shall be permitted. However, on scrutiny of relevant files, it

was revealed that the full amount of contract was not deposited by the contractor at the time of signing the agreement. The contractor deposited the amount on installment basis.

Further, it was revealed that the Security Deposits which was to be refunded at the end of contract period was also adjusted against the contract amount but later SDs were released. Also, Executive Authority has refunded Rs. 3,21,239/- to the contractors to make their loss good in violation of relevant clauses in the Agreement. Hence, Singtam Nagar Panchayat incurred a huge loss of revenue amounting to Rs(6,77,053/-+Rs.3,21,239/-) 9,98,292/-.

SNP-Revenue from Mela/fairs not collected.

On enquiry, it was revealed that Mela/Fair fees are being collected by Nagar Panchayat Members and are not accounted for in the books of accounts. The audit feels that Melas/Fairs fees would constitute handsome amount of revenue which must have been accounted for in the books of accounts of SNP. The government should take appropriate steps to stop such illegal practice.

NON-PRODUCTION OF RECORDS

The Urban Local Bodies provide certain basic civic infrastructure and services like Road, Drain, Street lights, Water Supply, Conservancy and solid waste management. They also perform certain regulatory functions. They also prepare plans for economic development and social justice. To fulfill all the needs, the total revenue base needs to be enhanced every year. With the raise in demand for services, the functionaries need to have effective financial management skills and accountability practices.

SNP-Bank passbook not found

On scrutiny of the records, it was revealed that the Singtam Nagar Panchayat is maintaining 5 (five) numbers of bank accounts but bank passbook were not produced to audit.

SNP-Details of Earthquake Relief Fund for Rs 25,00,000/- not furnished to Audit-

On scrutiny of records, it was found that the SNP has transferred the amount of Rs 25,00,000/- vide chq no 920996 dt 18.3.2014 in the name of Shri SK Pradhan, President and smt. Bishnu Maya Sherpa, Councillor for construction of house damaged by earthquake. However, detailed records of payment/disbursement made to beneficiaries were not furnished to Audit and so we could not audit.

SNP-Relevant papers regarding Purchase of vehicle/truck from BRGF not furnished.

On scrutiny of files and records, audit found that SNP had procured one vehicle/truck bearing no SK01/D2751 from Nim Dao Motors, Bageykhola for Rs 995000/- vide cheque no 001065 dt 26.3.14. Moreover, relevant papers such as invoice and tax/cess deduction at source and payment to CT department could not be found. Hence, payment made for the purchase of truck and remittance of tax deducted to commercial tax division could not be vouchsafed.

SNP-Work order for Vehicle repair works not found -Rs 5,85,196/-.

On scrutiny of the file “109/SNP(01-2013) BRGF 2011-12, it was revealed that work order was not issued by SNP for these modification/repair works of cesspool truck bearing no SK01D/2750. Further, no quotations were invited and vehicles were sent to garage without rate agreement and work order which is highly irregular practice.

Sl No	Paid To	Purpose	Cheque No/Date	Amount
1	Lalu Sahani, Siliguri	Fabrication Etc	4.7.13	553,796
2	Lalu Sahani, Siliguri	Putting Shed Etc	22.7.13	31,400
			Total	585,196

JNP- Non Production of records related to Execution of Works-Rs 3,00,723/-

On scrutiny of Bank statement, it was found that during the financial year 2013-14 RsRs. 3,00,723/- was debited to Bank Account under BRGF Scheme. On enquiry, it is stated that the Jorethang Nagar Panchayat executed the under mentioned works departmentally, but no any records (like file, voucher, measurement book etc) were produced to audit. It was found that the payments were made without preparing vouchers and passing the bills.

Construction of Wall at Ward No 2 for Rs 1,60,394/-

Construction of drain at Ward No. 2 for Rs 1,40,329/-

The above works were executed without proper estimate. Neither the resolution was passed by the house nor approval/sanction was obtained. The works were carried out without following any norms.

MIS-APPROPRIATIONS :

SNP- Rs. 6955/- was not credited into account-

Rs. 6955/- was not transferred to Canara Bank from SBS after the closure of old account on 26.09.14. The Executive Authority could not produce any record of having this amount transferred to any other bank account as no bank statement reflected this amount., bank statement of Grants in Aid account at SBS, Singtam for the financial year 2011-12 was not provided for scrutiny.

ADVANCES PENDING ADJUSTMENT

It was observed during the course of audit that temporary advances paid for specific purpose were outstanding for a long time though they should have been got adjusted through detailed bills and vouchers as soon as possible as per Sikkim Financial Rules, 1979. As per rule no 208 of SFR, festival advance cannot exceed Rs 8500/- and as per rule no 210 of SFR, the amount of advance granted under these rules shall be recovered in six equal monthly installments, and rule no 211, states that the recovery of the amount of advance shall commence with the issue of pay for the month following that in which such amount is disbursed.

It is compulsory to deduct General Provident fund, Tax deduction and Pension contribution at the rate prescribed by the government from the basic pay in respect of every Government servant who is regularly appointed and who completes one year of service. Also, loans and Advances, sanctioned and drawn for various purposes viz Festival Advance, General Provident Fund or other Loans of Banks and Financial Institutions, etc. should be noted immediately in the Salary Audit Register and Advance Register and it is the responsibility of the Drawing Officer to ensure prompt and regular recovery.

SNP-Festival Advance not recovered - Rs 15000/-

On scrutiny of Ledger 2013-14, it was revealed that Executive Authority had illegally paid Rs 15000/- to Mr Rajendra Rai, HA, vide cheque no 42963 dt 10.10.13 as festival advance in excess of prescribed amount of Rs.8,500/- and no recovery of the same has been done. Such illegal practice of drawing festival advance in excess of prescribed limit is highly objectionable and warrants prompt action. Non-recovery of festival advance also amounts to gross violation of SFR which demands appropriate action from the concerned authority.

SNP-Non-adjustment of advance- Rs 4,90,000/-

On scrutiny of record and vouchers, it is found that advances were drawn for various purposes but relevant advance register was not maintained and not adjusted till date:.

Sl No	Particulars	Advance Amount
1	Purchase Of 178 Nos Of Dustbins From Pankaj Psd Of Singtam	10,000
2	Purchase Of Sanitary Items	100,000
3	Paid To Simtei, Singtam For Motor Driving Training	80,000
4	Paid To Lalu Sahani, Siliguri For Cess Pool Tank	300,000
	Total	490,000

Further, SNP has made payment of honorarium to Councilors in advance for the period of 5 months which is irregular.

GNP-Loan not recovered - Rs 1,00,000/-

On scrutiny of file and paid vouchers, following irregularities were noticed:-

On Revenue expenditure, it is found that a Rs 1,00,000/- was given to Byadong Unemployed Co-operative Society Ltd. Vide Ch. No. 008443 Dt 28/11/2013 as a loan. As per the record in the concerned file, it is observed that the loan was released for a period of one month only on 31/12/2013 at the rate 5% interest per month but the same has not been recovered till the period covered by audit. Moreover acknowledgement of the receiver is also not found in the payment voucher.

On scrutiny of file of revenue expenditure, it is found that a Rs 1,00,000/- was given to Govt. Sr. Secondary School, Gyalshing as a loan subject to recovery later as per the letter dated 12/06/2013 signed by Shri P.L. Subba, Area MLA, Yangthang Constituency vide cheque No 008437 dated 04/09/2013 but the same has not been refunded till the period covered by Audit.

NON-COLLECTION OF DUES

On verification of Revenue collections by Municipalities, huge amount of revenues have been noticed pending realization for long period of time. No appropriate action seems to have been initiated by the Executive Authorities for recovery of pending dues.

NMC-Collection of Revenue - Rs 7,69,160/-

While going through the Revenue statement, the audit party noticed a huge difference

between the estimated revenue and actual revenue realized mainly in two items of revenues. Revenue in parking charge realized is Rs 3,11,020/- only against the estimated amount of Rs 7,11,000/-. Secondly, amount realized on a/c of rent from shopping complex is only Rs 7,07,840/- against the estimated amount of Rs 14,77,000/-. The revenue realized in these two main items is 50% less than the estimated amount. It is observed that the Executive Authority has not been taking effective measures to realize the revenues as estimated. No reasons for short collection of revenue were furnished to audit.

NMC-Non realization of monthly rent-Rs 13,35,858/-

The Rural Management Development Department has been allotted an area measuring 6175 Sq. ft. at Namchi Museum Building at a monthly rent of Rs 61750/- @ Rs 10/- Sq. ft. vide letter no. GOS/6/(917)/12/UD & HD/542 Dated 12/6/2012. The RMDD has defaulted the payment of rent amounting to Rs. 5,94,858/- and Rs 7,41,000/-(Rs.13,35,858/-)for the financial year 2012-13 and 2013-14. The records show that Executive Authority has not taken any sincere effort to realize the dues resulting in the loss of committed revenue.

The details are shown in the table below:

Sl.No.	Period	Rent per month	Amount
1	12-06-2012 to 30-6-2012 (19 Days)	Rs 61,750/-	Rs 39,108/-
2	July 2012 to March 2013 (9 Months)	Rs 61,750/-	Rs 5,55,750/-
3	April 2013 to March 2014 (12months)	Rs 61,750/-	Rs 7,41,000/-
		Total	Rs 13,35,858/-

PENDENCY OF UTILIZATION CERTIFICATES

According to Rule no 115 of the Sikkim Financial Rule, 1979, it is the responsibility of the Grant Receiving Authority to send the Utilization Certificates. However, there is heavy Pendency of Utilization Certificates to be furnished to the Grant Releasing Authorities. Such cases are reported in the ARs of Municipalities as shown in the statement appended herewith.

JNP - Utilization Certificate not submitted - Rs 24,32,309/-

During the financial year 2013-14, Jorethang Nagar Panchayat received a Rs 24,32,309/- as Grants-in-Aid under different schemes from Urban Development &

Housing Department and Rural Management Development Department, but Utilization Certificate has not been prepared and submitted to the funding agency.

RNP- Employment of Non Locals

On scrutiny of Personal files of MR employees, it was found that RNP has engaged non-local candidates in case of MR appointments as Sikkim subjects/COIs of MR employees were not found in their respective personal files. This goes against the policy of the Government.

Statement No 1(1)

Statement of Consolidated Receipts & Payments for the year 2011-12 & 2012-13 (in Lakhs)

FY	NAME OF ULB	OPENING BALANCE	RECEIPTS	OTHERS	INTEREST	TOTAL RECEIPT (Incl. Opening Balance)	PAYMENTS	CLOSING BALANCE
2011-12	MNP	12.95	37.31	9.65	0.89	60.80	28.30	32.50
	RNP	41.52	35.41	47.89	1.87	125.59	44.26	81.33
	SNP	47.82	96	0	0	143.82	88.32	55.50
2011-12 Total		102.29	168.72	57.54	2.76	330.22	160.88	169.34
2012-13	MNP	32.50	51.57	18.02	1.97	104.06	44.19	59.87
	RNP	81.33	59.58	64.23	4.53	208.11	72.64	135.47
	SNP	26.37	134.58	0	0.98	161.92	111.15	50.78
2012-13 Total		140.20	245.73	82.24	7.48	474.10	227.98	246.12
Grand Total		242.49	414.45	139.78	10.25	804.31	388.86	415.45

Statement No 1(2)

Statement of Consolidated Receipts & Payments for the year 2013-14 (in Rs)

NAME OF ULB	OPENING BALANCE	RECEIPT	OTHERS	INTEREST	TOTAL RECEIPT	PAYMENT	CLOSING BALANCE
GNP	3035144	3491952			6527096	6243323	283773
JNP	3035144	3491952			6527096	6243323	283773
MNP	5986510	2825040	2848186	172592	11832328	9393855	2438473
NMC	3165160	13471962			16637122	15582281	1054841
RNP	13547229	6105641	4376080	287622	24287431	8861506	15425925
SNP	6752420	11292639		4181645	22226704	17593237	4633467
Grand Total	35521607	40679186	7224266	4641859	88037777	63917525	24120252

STATEMNT NO 2(1)

Statement of Consolidated Grant wise Receipts and Payments for the year 2011-12 & 2012-13 (in lakhs)

	2011-12							2012-13								
	MNP		RNP		SNP		TOTAL		MNP		RNP		SNP		TOTAL	
NAME OF SCHEME/ ACCOUNTS	TOTAL RECEIPT	PAYMENTS	TOTAL RECEIPT	PAYMENTS	TOTAL RECEIPT	PAYMENTS	TOTAL RECEIPT	TOTAL PAYMENT	TOTAL RECEIPT	PAYMENTS	TOTAL RECEIPT	PAYMENTS	TOTAL RECEIPT	PAYMENTS	TOTAL RECEIPT	TOTAL PAYMENT
BRGF	15.21	13.64	7.54	0	18.42	0	41.17	13.64	39.56	14.77	26.65	16.43	33.96	12.66	100.16	43.86
GRANTS-IN-AID	29.34	14.66	65	38.53	33.78	27.67	128.12	80.85	29.74	25.39	79.49	40.68	14.30	14.24	123.53	80.31
REVENUE	13.56	0	47.38	5.73	89	59.86	149.94	65.59	30.71	1.39	93.41	11.28	110.50	81.88	234.63	94.56
SJSRY	2.69	0	5.67	0	2.62	0.79	10.98	0.79	4.05	2.64	8.57	4.25	3.16	2.37	15.78	9.26
TFC			0	0			0	0			0	0			0	0
Grand Total	60.80	28.30	125.59	44.26	143.82	88.32	330.22	160.88	104.06	44.19	208.11	72.64	161.92	111.15	474.10	227.98

STATEMENT NO. 2(2)

Statement of Consolidated Grant wise Receipts and Payments for the year 2013-14 (IN Rs.)

	NAME OF ULB											
	GNP		JNP		MNP		NMC		RNP		SNP	
NAME OF ACCOUNT	TOTAL RECEIPT	PAYMENT	TOTAL RECEIPT	PAYMENT	TOTAL RECEIPT	PAYMENT	TOTAL RECEIPT	PAYMENT	TOTAL RECEIPT	PAYMENT	TOTAL RECEIPT	PAYMENT
13th FC	13451	0	13451	0	14529	14200			473	67		
BRGF	3107904	3059004	3107904	3059004	4295721	2759832	1611309	1474894	4232060	1610478	5248338	2727520
GRANTS IN AID	1790480	1790199	1790480	1790199	3086960	2759363	12441205	12123594	7022369	3810725	5897784	5462702
Pro-Poor Fund							365184	87680				
REVENUE	1462692	1364120	1462692	1364120	4292237	3718960			12588686	3035235	11000437	9325015
SJSRY	152569	30000	152569	30000	142881	141500	427626	370000	443842.3	405000	80145	78000
Solid Waste MGT.							1791798	1526113				
Grand Total	6527096	6243323	6527096	6243323	11832328	9393855	16637122	15582281	24287431	8861506	22226704	17593237

STATEMENT NO. 3

Statement showing the Consolidated Revenue Receipts for the year 2013-14 (in Lakhs)

ACTUAL REVENUE COLLECTION	YEAR	
URBAN LOCAL BODIES	2013 - 14	Grand Total
GYALSHING NAGAR PANCHAYAT	13.85	13.85
JORETHANG NAGAR PANCHAYAT	16.65	16.65
MANGAN NAGAR PANCHAYAT	13.09	26.99
NAMCHI MUNICIPAL COUNCIL	54.01	54.01
RANGPO NAGAR PANCHAYAT	35.64	63.68
SINGTAM NAGAR PANCHAYAT	36.34	56.86

STATEMENT 4

CONSOLIDATED STATEMENT SHOWING THE NUMBER OF OBJECTIONS RAISED & AMOUNT (in Rs) INVOLVED WITH INSTITUTION-WISE BREAK-UP

Common Objection			GNP		JNP		MNP		NMC		RNP		SNP		AMOUNT Total	No Total
CATEGORY	AMOUNT	No	AMOUNT	No	AMOUNT	No	AMOUNT	No	AMOUNT	No	AMOUNT	No	AMOUNT	No		
ADVANCES PENDING ADJUSTMENT			100000	1									504999	2	604999	3
EXCESS PAYMENTS					0	1					1586000	1	283079	2	1869079	4
MIS APPROPRIATIONS :													6955	1	6955	1
NON COLLECTION OF DUES									2105018	2					2105018	2
NON PRODUCTION OF RECORDS					300723	1							585196	4	885919	5
NON REMITTANCE OF DEDUCTIONS / RECOVERIES FROM VOUCHER / PAY BILLS /CONTINGENT BILLS							8705	1			159170	3	135108	4	302983	8
PENDENCY OF UTILIZATION CERTIFICATES					2432309	1					0	1			2432309	2
VARIATION IN ACCOUNT FIGURES									1041500	1					1041500	1
VIOLATION OF RULES	0	8			376303	2	0	1			77804	1	3297747	10	3751854	22
WASTEFUL EXPENDITURE					140500	1					2262000	1	165298	2	2567798	4
Grand Total	0	8	100000	1	3249835	6	8705	2	3146518	3	4084974	7	4978382	25	15568414	52

Conclusion

Non levy of taxes under Sections 39[1] and 40[1] of Sikkim Panchayat Act, 1993 were noticed by audit team. The ULBs were not successful in realization of budgeted revenues in many cases. The basic records like Receipt and Payment Register, Balance Sheet, Assets Register, Advance Register, Cash Book [Revenue Account] were not maintained in most of the PRIs. None of the PRIs adopted the Model Accounting System for PRIs prescribed by Ministry of Panchayat Raj in 2009 for maintenance of accounts. Accordingly audit team couldn't obtain reports generated through the (PRIASOFT) software which forms an integral part of auditing. Non adherence of rules, notification and circulars of the State Government were seen in both GPs & ULBs. No Budget proposal was prepared by PRIs as required under the provisions of the respective Acts/Rules. The Nodal Departments need to initiate action in order to entrust more subjects to the Municipalities/Panchayats to enable them to implement the programme as mandated by the Constitution. Both ULBs & GPs have not obtained the approval for incurring expenditures as required by rules. The GPs/ULBs have neglected to credit the realized revenues like VAT, CESS& Forest Royalty into Government account. ULBs have not realized commission on printing and stationary charges as required by the prevailing rule. Adoption of rates without proper survey, analysis and investigation of market resulted in excess payments which were noticed in both GPs & ULBs during the course of audit.

STATEMENT 1: NOS OF PARAS/OBSERVATIONS ISSUED TO LOCAL BODIES DURING THE
AUDIT BY DLFA

NAME OF GPU	BLOCK	DISTRICT	YEAR AUDITED	PARAS/ OBJECTIONS	REPLIES GIVEN	PARAS DROPPED
50- NAVEY SOTAK	KABI	EAST	2014-15	21		
51- LINGDOK	KABI	EAST	2014-15	22		
33 - Namli	MARTAM	EAST	2014-15	8		
36 - Samlik Marchak	MARTAM	EAST	2014-15	8		
38 - Martam Nazitam	MARTAM	EAST	2014-15	8		
39 - Byeng Phegyong	MARTAM	EAST	2014-15	10		
32 - Luing Perbing	RANKA	EAST	2014-15	5		
33 - Ranka	RANKA	EAST	2014-15	9		
34 - Ray Mindu	RANKA	EAST	2014-15	14		
35 - Rawtey Rumtek	RANKA	EAST	2014-15	5		
10-ARITAR	REGU	EAST	2014-15 & 2015-16	24		
12-DALAPCHAND	REGU	EAST	2014-15 & 2015-16	23		
13-REGU	REGU	EAST	2014-15 & 2015-16	28		
14-PREMLAKHA SUBANEYDARA	REGU	EAST	2014-15 & 2015-16	23		
16-LIGTAM PHADAMCHEN	REGU	EAST	2014-15 & 2015-16	24		
17-LAMATEN ROLEP	REGU	EAST	2014-15 & 2015-16	28		
18-CHUJACHEN	REGU	EAST	2014-15 & 2015-16	25		
49-RONGLI CHANGEYLAKHAA	REGU	EAST	2014-15 & 2015-16	25		
07 - Taza	RHENOCK	EAST	2014-15	11		
09 - Rhenock	RHENOCK	EAST	2014-15	11		
11 - Sudung Lakha	RHENOCK	EAST	2014-15	12		
22 - Bering Tareythang	RHENOCK	EAST	2014-15	12		
12-CHUNGTHANG	CHUNGTHANG	NORTH	2014-15	19		
13-SHIPGYER	CHUNGTHANG	NORTH	2014-15	18		
21-LACHEN	CHUNGTHANG	NORTH	2014-15	13		
22-LACHUNG	CHUNGTHANG	NORTH	2014-15	16		
14 - Lingthem-Lingdem	DZONGU	NORTH	2014-15	16		
15 - Passingdang Saffo	DZONGU	NORTH	2014-15	12		
16 - Tingvong	DZONGU	NORTH	2014-15	15		
17 - Sakyong-Pentong	DZONGU	NORTH	2014-15	16		
18 - Berfok-Lingdong	DZONGU	NORTH	2014-15	16		
19 - Hee-Gyathang	DZONGU	NORTH	2014-15	16		
20 - Lum-Gor-Sangtok	DZONGU	NORTH	2014-15	8		
1-KABI TINGDA	KABI	NORTH	2014-15	21		
2-PHENSONG	KABI	NORTH	2014-15	23		
3-MENRONGONG	KABI	NORTH	2014-15	24		
4-TUMLONG	KABI	NORTH	2014-15	24		
3-LABDANG	CHONGRANG	WEST	2014-15 & 2015-16	28		

4-TASHIDING	CHONGRANG	WEST	2014-15 & 2015-16	24		
49-RUMBUK	DARAMDIN	WEST	2014-15 & 2015-16	32		
50-UPPER THAMBUNG	DARAMDIN	WEST	2014-15 & 2015-16	39		
51-LOWER THAMBUNG	DARAMDIN	WEST	2014-15 & 2015-16	40		
52-LUNGCHOK SALANGDANG	DARAMDIN	WEST	2014-15 & 2015-16	36		
53-SIKTAM TIKPUR	DARAMDIN	WEST	2014-15 & 2015-16	39		
54-OHKREY	DARAMDIN	WEST	2014-15 & 2015-16	35		
55-RIBDI BHARANG	DARAMDIN	WEST	2014-15 & 2015-16	37		
32 - Suldung Kamling	SORENG	WEST	2014-15	11		
33 - Mabong Singeng	SORENG	WEST	2014-15	12		
34 - Khanisirbong Suntaley	SORENG	WEST	2014-15	11		
35 - Chota Samdong Arubotey	SORENG	WEST	2014-15	11		
41 - Malbasey	SORENG	WEST	2014-15	12		
42 - Soreng	SORENG	WEST	2014-15	11		
43 - Singling	SORENG	WEST	2014-15	11		
44 - Timburbung	SORENG	WEST	2014-15	10		
45 - Tharpu	SORENG	WEST	2014-15	12		
46 - Kartok Bhojek	SORENG	WEST	2014-15	11		
47 - Dodak	SORENG	WEST	2014-15	12		
48 - Bariakhop	SORENG	WEST	2014-15	11		
6-GERETHANG	YUKSUM	WEST	2014-15 & 2015-16	23		
7-YUKSUM DUPDI	YUKSUM	WEST	2014-15 & 2015-16	28		
8-KHECUPELRI	YUKSUM	WEST	2014-15 & 2015-16	25		
9-MELLI ACHING	YUKSUM	WEST	2014-15 & 2015-16	27		
GMC		EAST		14		
EDZP		EAST		7		
NDZP		NORTH		13		
TOTAL				1195	0	0